Entrepreneurship answer key (version 1.0.0)

Private grading material. Each entry: question ID, its page in the question collection, the correct choice, why it is right, why each other choice is wrong, whether arithmetic was checked by code, and the sources for the set.

S1-M-Q1 · question page 2

ENT.START.01 · Describe a business as solving a problem for paying customers

Dana bakes bread for fun and gives it to friends. Which change would turn this into a business?

Answer: D. She starts selling loaves each week to neighbors who pay for them.

A business needs customers who pay. Selling loaves to neighbors who pay is the change that matters.

- ✗ A. She buys a bigger, more expensive oven so she can bake more loaves at once.: buying equipment alone does not create customers
- ✗ B. She posts photos of her bread online each day.: posting photos does not involve customers paying
- ✗ C. She bakes twice as many loaves to give away.: giving more away is still not selling to customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q2 · question page 3

ENT.START.01 · Describe a business as solving a problem for paying customers

Which sentence best describes what every business does?

Answer: B. It offers something that customers want and will pay for.

A business can be tiny and have no office or staff; what makes it a business is selling something people want.

- ✗ A. It always rents an office or a store building.: many businesses run from home or online

✗ C. It sells only physical items made in a factory and shipped to stores.: services, digital files and content are businesses too

✗ D. It must have employees besides the owner.: many businesses are run by one person

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q3 · question page 4

ENT.START.01 · Describe a business as solving a problem for paying customers

Marco fixes bikes. Which fact best shows his bike repair is a business rather than a hobby?

Answer: D. He charges a set price and plans to earn more than his costs.

Charging customers and aiming to earn more than it costs is what makes an activity a business.

✗ A. He enjoys fixing bikes on weekends.: enjoyment fits a hobby as well as a business

✗ B. He owns many tools and a work stand.: owning tools does not show he is selling anything

✗ C. He has fixed his own bike many times and knows every part of it well.: fixing his own bike involves no customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q4 · question page 5

ENT.START.01 · Describe a business as solving a problem for paying customers

What is an entrepreneur?

Answer: A. A person who starts and runs a business and takes on its risk.

An entrepreneur starts and runs a business and accepts the risk that it may not succeed.

✗ B. A person who has already earned a lot of money from investing it wisely.: wealth is not part of the definition

✗ C. Any person who works for a large company.: an employee of a company

is not running the business

✗ D. A person who only invents new technology.: entrepreneurs start all kinds of businesses, not only tech

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-M-Q5 · question page 6

ENT.START.01 · Describe a business as solving a problem for paying customers

Lena tutors math. Which question should she ask first to check that tutoring can be a business?

Answer: D. Are there students or parents who will pay for this help?

The first test of a business is whether customers will pay for the help it offers.

✗ A. How many hours does she enjoy tutoring?: enjoyment does not tell her whether anyone will pay

✗ B. Should she buy a new laptop and tablet for lessons before she starts?: spending before knowing there are customers adds risk

✗ C. Which color should her business cards be?: design choices matter little until customers exist

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q1 · question page 7

ENT.START.01 · A business in one sentence

A lemonade stand sells cups to walkers who pay 1 dollar. What are the walkers?

Answer: C. The customers

People who buy and pay are the customers.

✗ A. The owners: the owner runs the stand; walkers buy from it

✗ B. The employees: employees work for the business

✗ D. The suppliers: suppliers sell things TO the business

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q2 · question page 8

ENT.START.01 · A business in one sentence

Which of these is a business?

Answer: C. Walking dogs for neighbors who pay 15 dollars a walk

Paid dog walking has a service, customers and payment.

- ✗ A. Watching many online videos about how to train dogs well: no one is selling anything
- ✗ B. Walking a friend's dog as a favor: a favor with no payment is not a business
- ✗ D. Walking your own dog every morning: no customer pays for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q3 · question page 9

ENT.START.01 · A business in one sentence

Sam paints pictures only for his own walls. What is missing for this to be a business?

Answer: B. Customers who pay for the paintings

Without paying customers, painting for your own walls is a hobby.

- ✗ A. A studio in another room: a room does not add customers
- ✗ C. A larger set of paint brushes: tools do not make it a business
- ✗ D. More hours spent painting each week: more time painting still involves no sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q4 · question page 10

ENT.START.01 · A business in one sentence

What three parts does every business need?

Answer: A. Something to sell, customers, and payment

Every business comes down to an offer, customers who want it, and payment.

✗ B. A logo, a website, and a slogan: these help later but are not the core

✗ C. A patent, an outside investor, and a store building: most small businesses have none of these

✗ D. An office, a loan, and employees: many businesses have none of these

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-B1-Q5 · question page 11

ENT.START.01 · A business in one sentence

Ana knits hats and sells some at a weekend market. Which part of her activity is the business part?

Answer: B. Selling hats to market shoppers who pay

The sales to paying shoppers are what make it a business.

✗ A. Wearing her own hats in winter: personal use is not a business activity

✗ C. Choosing yarn colors and patterns she likes best for hats: choosing materials is not selling

✗ D. Knitting while watching TV: knitting alone is making, not selling

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q1 · question page 12

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Priya sells handmade candles. She charges 12 dollars each, and each candle costs her 5 dollars to make. She sold 20 last month. What is the best sign she is running a business?

Answer: B. She charges customers more than the candles cost to make.

Selling above cost to paying customers shows a business aimed at earning money.

✗ A. Her friends say her candles smell wonderful.: praise is not payment

✗ C. She has made candles for many years as a relaxing evening pastime.:

experience does not show she sells for a profit

✗ D. She bought a box of candle jars in bulk.: buying supplies does not show sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q2 · question page 13

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Tomas mows his own lawn and his grandmother's lawn for free. A neighbor offers to pay him 25 dollars a week. If he says yes and finds more paying neighbors, what has changed?

Answer: D. He now has paying customers, which starts a service business.

Paying customers for a service turn a favor into a business.

✗ A. He now needs a store to run his business.: a mowing service can run without a store

✗ B. He has become an employee of the neighbor.: he is selling a service, not taking a job

✗ C. Nothing has changed, because mowing is the same work as before.: the work is the same but now customers pay for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q3 · question page 14

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Which plan sounds most like a business rather than a hobby?

Answer: A. Sell 30 phone cases a month at a price above their cost.

A plan to sell to customers above cost is a business plan.

✗ B. Design phone cases for my own phone each month.: no customers are involved

✗ C. Watch videos about phone case design.: learning is useful but sells nothing

✗ D. Collect rare and unusual phone cases from shops around the world.:

collecting is not selling

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q4 · question page 15

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Jun earns a little money from a video he posted, but he posts only when he feels like it and tracks nothing. What would most clearly make his channel a business?

Answer: C. Planning content and income sources aimed at earning more than his costs

A business is organized to earn more than it spends; planning content and income is that change.

✗ A. Asking friends to like every video: likes are not income

✗ B. Buying a more expensive camera and new lights so his videos look better: equipment does not create a plan to earn

✗ D. Posting a funny video once in a while: that is the same casual pattern

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F1-Q5 · question page 16

ENT.START.01 · Apply it: judge whether an activity is set up as a business

Ruth sells cookies at school events. She spends 40 dollars on ingredients and takes in 35 dollars. What does this tell her about her cookie sales so far?

Answer: D. She is spending more than she takes in, so she is losing money.

35 - 40 = -5: she spent 5 dollars more than she took in.

✗ A. She cannot be a business at all, because she lost money this time.: a business can lose money; the aim is to earn over time

✗ B. She is making a good profit already.: 35 dollars in is less than 40 dollars out

✗ C. She is breaking exactly even.: she took in 5 dollars less than she spent

Arithmetic checked by code: yes. Sources: none (stable)

S1-F2-Q1 · question page 17

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Keisha sells jewelry online but earns less than she spends on supplies every month and has no plan to change prices or costs. Which statement is most accurate?

Answer: C. She is selling, but without changes it will keep losing money.

Selling makes it business activity, but it needs a plan to earn more than it spends.

- ✗ A. Losing money is fine forever, as long as people keep liking the jewelry.: a business must earn more than it spends over time
- ✗ B. She is already a profitable business.: she spends more than she earns
- ✗ D. Selling online means she must be a hobby.: selling online can be a real business

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q2 · question page 18

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Two friends sell T-shirts. Friend A sells 5 a month to strangers above cost. Friend B gives 50 away to promote a club. Which is acting more like a business?

Answer: A. Friend A, because strangers pay more than the shirts cost

Selling to paying customers above cost is business activity; giving away is promotion or a gift.

- ✗ B. Friend B, because more shirts went out: giving shirts away earns nothing
- ✗ C. Both equally, because both handle shirts: only one is selling to customers
- ✗ D. Neither of them, because T-shirts are not a real product to sell: shirts are a common product

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q3 · question page 19

ENT.START.01 · Handle the complications: hobby, business or not sure yet

A learner says, "A business must start big with an office, staff and a loan." What is the best response?

Answer: B. Many businesses start small, from home, with the owner doing the work.

Size does not define a business; selling to paying customers does.

- ✗ A. A business must avoid ever having an office.: some businesses need offices; the point is it is not required
- ✗ C. Only loans make something a business.: many businesses use savings or early sales instead
- ✗ D. That is correct, because small starts at home are not real businesses.: small starts are very common

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q4 · question page 20

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Omar is not sure whether his weekend drone photography will become a business. What should he check first?

Answer: D. Whether people will pay a price that covers his costs and time

Before treating it as a business, he needs evidence of paying demand that covers costs and time.

- ✗ A. Whether his friends and family think his photos look really nice: friendly praise is not evidence that strangers will pay
- ✗ B. Whether he can name the business today: a name matters less than paying demand
- ✗ C. Whether his drone is the newest model: equipment comes after knowing there is demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S1-F2-Q5 · question page 21

ENT.START.01 · Handle the complications: hobby, business or not sure yet

Carla charges 20 dollars per haircut at home. Supplies cost 4 dollars per cut, and she does 10 a month. She says she has no business costs at all. What is she forgetting?

Answer: A. The 4 dollars of supplies per cut are a business cost.

Supplies used for each haircut are a business cost: 10 x 4 = 40 dollars a month.

- ✗ B. Haircuts can never have costs.: supplies are used for each cut
- ✗ C. Costs only exist for big companies.: every business has some costs
- ✗ D. Her customers pay for her supplies directly, so they are not her costs.: the customers pay her price, and she pays for supplies

Arithmetic checked by code: yes. Sources: none (stable)

S2-M-Q1 · question page 23

ENT.START.02 · Compare a side business and a full-time business

Mia works 40 hours a week and wants to test a pet-sitting idea. Which plan has the lower personal risk?

Answer: C. Keep her job and pet-sit on weekends to test demand

Keeping her job while testing keeps her bills covered, so the personal risk is lower.

- ✗ A. Borrow money to open a large pet hotel later this month: a large loan adds risk before demand is known
- ✗ B. Sign a long lease for a pet store: a lease is a big commitment before testing
- ✗ D. Quit her job today to pet-sit full time: this removes her steady income before the idea is tested

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q2 · question page 24

ENT.START.02 · Compare a side business and a full-time business

What is the main tradeoff of a side business?

Answer: B. Lower risk to your income, but less time for the business

A side business protects income but limits time.

- ✗ A. No customers and no costs: side businesses have both
- ✗ C. More time for the business and no risk at all to income: a side business has less time, and some risk remains
- ✗ D. Higher risk and more time: that describes a full-time business

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q3 · question page 25

ENT.START.02 · Compare a side business and a full-time business

Which situation best fits a full-time business?

Answer: D. The business is the owner's main work and main source of income.

A full-time business is the owner's main work and income.

- ✗ A. The owner tries it during a school break.: a short trial is usually a side project
- ✗ B. The owner works on it two evenings a week.: that is a side business
- ✗ C. The owner has another full-time job that pays all of the bills.: that makes this a side business

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-M-Q4 · question page 26

ENT.START.02 · Compare a side business and a full-time business

Leo's side business earns 300 dollars a month. His personal bills are 2,000 dollars a month. What does this tell him about quitting his job now?

Answer: A. The business does not yet earn enough to cover his bills.

The business earns 1,700 dollars less than his monthly bills, so it cannot replace his job yet.

✗ B. He can quit, because 300 dollars is steady income.: 300 dollars is far below 2,000 dollars

✗ C. He should close the business now, because 300 dollars is too small.: a small start is normal; it just is not enough yet

✗ D. He can quit, because bills do not matter at first.: personal bills must still be paid

Arithmetic checked by code: yes. Sources: none (stable)

S2-M-Q5 · question page 27

ENT.START.02 · Compare a side business and a full-time business

Which evidence would best support moving a side business to full time?

Answer: B. Several months of steady sales plus savings to cover slow months

A steady track record and a savings cushion reduce the risk of going full time.

✗ A. A new logo and website: branding does not show customers will keep paying

✗ C. One very good week of sales: one week is not a pattern

✗ D. Many friends and relatives saying the idea is great and will grow: praise is not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q1 · question page 28

ENT.START.02 · Side or full-time: time and risk

Ana cleans homes on Saturdays and keeps her job. What kind of business is this?

Answer: A. A side business

It runs alongside her job, so it is a side business.

✗ B. A corporation: that is a legal form, not about time

✗ C. A hobby only: she is paid by customers

✗ D. A full-time business: her main work is still her job

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q2 · question page 29

ENT.START.02 · Side or full-time: time and risk

Ben quit his job to clean homes every day. What is his main extra risk compared with Ana?

Answer: C. A slow week can leave him short for personal bills.

Without a paycheck, slow sales hit his personal bills directly.

✗ A. He has fewer hours than Ana to look for customers.: he has more hours, not fewer

✗ B. He cannot have customers.: he can have many customers

✗ D. He must pay for a store.: a cleaning service does not need a store

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q3 · question page 30

ENT.START.02 · Side or full-time: time and risk

What does a side business usually have less of?

Answer: B. Time to work on the business

A side business shares the owner's time with a job or school.

✗ A. Customers who pay for the work: it can have paying customers

✗ C. Risk to income: a side business has LESS risk to income, so this is not what it lacks

✗ D. Legal rights: its rights are the same

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q4 · question page 31

ENT.START.02 · Side or full-time: time and risk

Which word best describes what a job adds to a side business plan?

Answer: C. Safety

A job's paycheck keeps bills paid while the business is tested.

- ✗ A. Speed: a job takes time away, so it usually slows the business
- ✗ B. Ownership: the job does not give ownership of the business
- ✗ D. Customers: the employer is not the business's customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-B1-Q5 · question page 32

ENT.START.02 · Side or full-time: time and risk

A student runs a small design business after school. Which describes it?

Answer: D. A side business with limited hours

After-school work is a side business.

- ✗ A. Not a business, because students cannot sell: students can sell services
- ✗ B. A partnership with the school: the school is not an owner
- ✗ C. A full-time business with unlimited hours: school takes most of the day

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q1 · question page 33

ENT.START.02 · Apply it: choose a sensible starting setup

Rosa has 3 months of savings, a job she likes, and an untested idea for a meal-prep service. Her goal is to test demand without risking her rent. What is the best start?

Answer: A. Offer meal prep on weekends while keeping her job

A side test keeps her income while she learns whether people will pay.

- ✗ B. Take a large loan to open a restaurant: a big loan adds risk before demand is known
- ✗ C. Wait until the idea is perfect before telling anyone: waiting gives no

evidence

✗ D. Quit her job and spend her savings on a kitchen: this risks her rent before any test

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q2 · question page 34

ENT.START.02 · Apply it: choose a sensible starting setup

Ivan's side business has earned 2,500 dollars a month for 8 months. His bills are 2,200 dollars a month and he has 6 months of savings. He wants to go full time. Which fact most supports his plan?

Answer: C. Steady earnings above his bills, plus savings for slow months

Eight months above his bills plus savings is real evidence that full time is affordable.

✗ A. He enjoys the business more than his current job, so he will work hard: enjoyment does not pay bills

✗ B. His logo won a design contest: a logo does not show steady demand

✗ D. A friend says it will definitely grow: a promise is not evidence

Arithmetic checked by code: yes. Sources: none (stable)

S2-F1-Q3 · question page 35

ENT.START.02 · Apply it: choose a sensible starting setup

A parent can work only 10 hours a week. Which business setup fits best?

Answer: C. A side business with a small number of clients

A small side business matches the hours available.

✗ A. Hiring five staff before having customers: that adds cost and risk first

✗ B. A business that requires being on call all day: that does not fit 10 hours

✗ D. A full-time store open 60 hours a week: that needs far more hours

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q4 · question page 36

ENT.START.02 · Apply it: choose a sensible starting setup

Which is a good reason to keep a business on the side for now?

Answer: A. Sales are growing but still below personal living costs.

When sales do not yet cover living costs, the job still provides needed income.

- ✗ B. The business is fully booked every day.: that suggests it may need full-time attention
- ✗ C. The owner has no other source of income.: then it is not on the side
- ✗ D. Sales already cover all costs with plenty of savings to spare.: that supports going full time

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F1-Q5 · question page 37

ENT.START.02 · Apply it: choose a sensible starting setup

Grace runs a side bakery that makes 600 dollars a month. Going full time might triple sales to 1,800 dollars. Her bills are 2,400 dollars a month. What should she conclude?

Answer: D. Even tripled sales would not cover her bills yet.

600 x 3 = 1,800, which is 600 dollars short of 2,400.

- ✗ A. Tripled sales would leave money to spare.: 1,800 is less than 2,400
- ✗ B. The numbers do not really matter for this kind of decision.: bills must be covered
- ✗ C. She should quit because sales would grow.: growth would still fall short of her bills

Arithmetic checked by code: yes. Sources: none (stable)

S2-F2-Q1 · question page 38

ENT.START.02 · Handle the complications: what to check before switching

Owen's employment agreement may limit outside work in the same field. He wants to start a side

business doing similar work. What should he check first?

Answer: B. What his employment agreement says about outside work

Some job agreements limit side work; he needs to read his before starting.

- ✗ A. How many followers a competitor in the same field has online: that does not answer the agreement question
- ✗ C. Whether his friends like the idea: friends cannot tell him what his agreement allows
- ✗ D. Which logo font to use: branding can wait

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q2 · question page 39

ENT.START.02 · Handle the complications: what to check before switching

Nadia plans to quit her job for her business. She has counted business costs but not health insurance, which her job provided. What is the main gap?

Answer: D. She has left out personal costs her job used to cover.

Leaving a job can mean paying for things the job provided, such as insurance.

- ✗ A. Health insurance is only a business cost, not a personal one.: here it is a personal cost the job covered
- ✗ B. There is no gap if sales are high.: she still has not counted the cost
- ✗ C. She has counted too many business costs.: the gap is a missing cost, not an extra one

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q3 · question page 40

ENT.START.02 · Handle the complications: what to check before switching

A side business took 25 hours last week on top of a 40-hour job, and the owner is exhausted. Which choice best protects the business and the owner?

Answer: C. Set a weekly hour limit and take only the work that fits

Matching the workload to available hours protects health and quality.

✗ A. Stop sleeping enough to fit everything in: this harms health and work quality

✗ B. Keep adding customers until it gets easier: more customers means more hours

✗ D. Quit the job now without first checking the personal finances: that may create money problems

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q4 · question page 41

ENT.START.02 · Handle the complications: what to check before switching

Sales were strong for one month because of a holiday. The owner wants to go full time now. What is the main problem with this evidence?

Answer: A. One holiday month may not show normal, steady demand.

A seasonal spike is not the same as steady monthly demand.

✗ B. The owner should ignore all sales numbers.: sales numbers are useful over time

✗ C. Strong sales in one month prove the business will always keep growing.: one month proves little about the future

✗ D. Holiday sales are not real money.: they are real, but may not repeat

Arithmetic checked by code: not applicable. Sources: none (stable)

S2-F2-Q5 · question page 42

ENT.START.02 · Handle the complications: what to check before switching

Two plans: Plan A keeps a job and grows slowly. Plan B goes full time with 2 months of savings and no steady sales yet. The owner's stated priority is never missing rent. Which plan fits that priority?

Answer: B. Plan A, because the job keeps rent covered while the business grows

With "never miss rent" as the priority, keeping steady income is the better fit.

✗ A. Neither plan, because small businesses never earn enough to cover rent: many do over time

✗ C. Plan B, because full time grows faster: faster growth is not the stated priority

✗ D. Plan B, because savings always last: two months may run out without steady sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q1 · question page 44

ENT.START.03 · Classify a business idea by how it sells

Jada offers house cleaning for 30 dollars an hour. What kind of business is this?

Answer: C. A service

House cleaning sells time and skill, so it is a service.

✗ A. A digital product: nothing is delivered as a file or app

✗ B. A content business: she is not earning from an audience

✗ D. A physical product: she sells her time and work, not an item

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q2 · question page 45

ENT.START.03 · Classify a business idea by how it sells

Ken sells a printable budget planner that buyers download. What kind of business is this?

Answer: B. A digital product

A downloadable file is a digital product.

✗ A. A content business: buyers pay for the file itself, not an audience earning sponsors

✗ C. A service: he is not selling his time to each buyer

✗ D. A physical product: nothing is shipped

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q3 · question page 46

ENT.START.03 · Classify a business idea by how it sells

Which business must plan for stock, packaging and shipping?

Answer: D. Selling handmade soap online

Soap is a physical product, so it needs stock, packaging and shipping.

- ✗ A. Running a cooking video channel: videos are content, not shipped items
- ✗ B. Tutoring students over video calls: tutoring is a service with nothing to ship
- ✗ C. Selling an online course: a course is digital

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q4 · question page 47

ENT.START.03 · Classify a business idea by how it sells

Ola posts free gardening videos and earns money when brands sponsor them. What kind of business is this?

Answer: A. A content business

An audience attracted by content, paid for by sponsors, is a content business.

- ✗ B. A digital product: viewers do not buy a file from her
- ✗ C. A service: she is not paid for hours of work for one client
- ✗ D. A physical product: she does not sell items

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-M-Q5 · question page 48

ENT.START.03 · Classify a business idea by how it sells

What usually limits how much a one-person SERVICE business can earn?

Answer: C. The owner's available hours

A solo service sells time, so the owner's hours set a ceiling.

- ✗ A. Platform sponsorship rules: that applies to content businesses
- ✗ B. Shipping costs for each item: services usually ship nothing
- ✗ D. The number of downloads allowed: that applies to digital products

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q1 · question page 49

ENT.START.03 · Four ways to sell, made simple

A customer receives a haircut. What do they get?

Answer: A. Someone's time and skill

A haircut is a service.

- ✗ B. An item to hold: a haircut is not an item
- ✗ C. A file to download: nothing is downloaded
- ✗ D. Free videos paid for by sponsors: the customer pays the stylist directly

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q2 · question page 50

ENT.START.03 · Four ways to sell, made simple

A customer receives a mug in the mail. What kind of sale is this?

Answer: D. A physical product

A mug you can hold is a physical product.

- ✗ A. Content: a mug is not something watched or read
- ✗ B. A service: the customer got an item, not someone's time
- ✗ C. A digital product sent as a file: a mug is not a file

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q3 · question page 51

ENT.START.03 · Four ways to sell, made simple

A customer pays for access to an online course. What kind of sale is this?

Answer: B. A digital product

Online access is digital.

- ✗ A. Content paid for by sponsors: the customer pays for access directly
- ✗ C. A service: the course is prepared once and sold many times
- ✗ D. A physical product: nothing is shipped

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q4 · question page 52

ENT.START.03 · Four ways to sell, made simple

A podcast is free to listen to and earns from ads. What kind of business is it?

Answer: D. Content

Free media paid for by ads is content.

- ✗ A. A service: listeners do not hire the host
- ✗ B. A physical product: nothing is shipped
- ✗ C. A digital product sold to listeners: listeners do not pay for it

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-B1-Q5 · question page 53

ENT.START.03 · Four ways to sell, made simple

A tutor also sells a printed workbook. Which two kinds of selling is the tutor doing?

Answer: A. A service and a physical product

Tutoring is a service; a printed workbook is a physical product.

- ✗ B. Two services: a printed workbook is an item
- ✗ C. Two digital products: neither is a file in this case

✗ D. A digital product and a content business: tutoring is a service and the workbook is printed

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q1 · question page 54

ENT.START.03 · Apply it: what each kind of business needs

Ben wants to sell custom T-shirts and ship them across the country. Which need should he plan for first?

Answer: C. Stock or printing, packaging and shipping costs

Shipped T-shirts are physical products, so production and shipping matter first.

✗ A. Sponsorship rules for videos: that applies to content

✗ B. Travel time between appointments at customers' homes: that applies to many services

✗ D. Software updates for users: that applies to digital products

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q2 · question page 55

ENT.START.03 · Apply it: what each kind of business needs

Fatima sells an online quiz app. Which ongoing need fits her business best?

Answer: A. Customer support and app updates

Digital products need support and updates over time.

✗ B. Travel between client homes: she does not visit clients

✗ C. Packaging materials: nothing is packaged

✗ D. Restocking boxes of inventory in a storage room: an app has no boxes

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q3 · question page 56

ENT.START.03 · Apply it: what each kind of business needs

Raj runs a lawn-care service alone. He is fully booked. What is the main way to earn more without adding hours?

Answer: C. Raise prices or offer higher-value services

When hours are full, earning more per hour is the main lever for a solo service.

- ✗ A. Buy more inventory: a service has no inventory to sell
- ✗ B. Post more free videos about lawn care online: that does not raise lawn-care income directly
- ✗ D. Sell more downloads: he is not selling downloads

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q4 · question page 57

ENT.START.03 · Apply it: what each kind of business needs

Lucy makes cooking videos and wants income that does not depend only on sponsors. Which option fits a content business best?

Answer: D. Sell her own recipe e-book to her audience

Selling her own product to her audience adds income beyond sponsors.

- ✗ A. Remove all links and product mentions from her videos: that blocks ways to earn
- ✗ B. Only accept more sponsors: that keeps her dependent on sponsors
- ✗ C. Stop posting videos: that removes the audience she earns from

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F1-Q5 · question page 58

ENT.START.03 · Apply it: what each kind of business needs

Which business can sell the same item many times without making a new copy each time?

Answer: B. An e-book sold as a download

A digital file can be delivered again and again.

✗ A. A dog-walking service: each walk takes new time

✗ C. A cake bakery: each cake must be baked

✗ D. A hand-painted portrait of a customer's pet: each portrait must be made separately

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q1 · question page 59

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A yoga teacher runs classes, sells mats, and posts free videos with sponsors. Which statement is most accurate?

Answer: A. She mixes a service, a physical product and content.

Many businesses combine several ways of selling; each part has its own needs.

✗ B. Mixing several kinds of selling is not allowed for one owner.: many businesses mix them

✗ C. She runs only a content business.: classes and mats are also sold

✗ D. She runs only a service business.: mats and sponsored videos are other kinds

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q2 · question page 60

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

Tom thinks his digital course has no costs because "files are free to copy." Which cost is he most likely forgetting?

Answer: C. Course platform fees and time to answer student questions

Digital products still have platform fees and support time.

✗ A. Restocking printed copies: it is a digital course

✗ B. Shipping printed boxes and workbooks to each new student: nothing is shipped

✗ D. Gas for driving to students: students learn online

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q3 · question page 61

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A creator has many viewers but no income. Which missing piece is most likely the problem?

Answer: D. No way to earn yet, such as sponsors, affiliates, ads or products

An audience does not earn by itself; content needs an income source.

✗ A. Too many viewers: viewers are an asset, not the problem

✗ B. Too few service appointments booked with viewers each week: a content business is not appointment-based

✗ C. Not enough shipping options: content does not ship

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q4 · question page 62

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

A baker wants to also sell a digital recipe book. Her stated goal is extra income without more baking hours. Which addition fits that goal?

Answer: B. The digital recipe book, sold as a download

A digital product can earn without new baking hours each sale.

✗ A. A weekend market stall: that adds selling hours

✗ C. A second oven so she can bake cakes much faster: that still uses her baking time

✗ D. More custom cakes: that adds baking hours

Arithmetic checked by code: not applicable. Sources: none (stable)

S3-F2-Q5 · question page 63

ENT.START.03 · Handle the complications: mixed businesses and hidden needs

Which question best decides whether an idea is a service or a product?

Answer: C. Does the customer receive time and skill, or an item or file?

What the customer receives decides the kind of business.

- ✗ A. Is the price above 50 dollars?: price does not decide the kind
- ✗ B. Is the idea popular with people on social media right now?: popularity does not change what is sold
- ✗ D. Does the owner work from home?: both kinds can run from home

Arithmetic checked by code: not applicable. Sources: none (stable)

S4-M-Q1 · question page 65

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

According to the passage, how did the founders learn ice cream making?

Answer: D. A low-cost correspondence course from Penn State

The documented history says they took a $5 correspondence course.

- ✗ A. Buying an existing ice cream company: they opened their own shop
- ✗ B. Working several years in a big ice cream factory first: the passage does not say this
- ✗ C. A degree in food science: the passage names a $5 course

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q2 · question page 66

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Why does the passage say they did not start with bagels?

Answer: B. The bagel equipment cost too much.

The passage says the bagel equipment was too expensive.

- ✗ A. They could not find a building.: they found a gas station for the ice cream shop

✗ C. Nobody in town liked bagels.: the passage does not say this

✗ D. Bagels were not allowed in Vermont.: nothing like this is stated

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q3 · question page 67

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Which lesson does this course draw from the case?

Answer: A. Pick a start you can afford and begin small.

Starting with an affordable idea and one location is the lesson drawn.

✗ B. Never take a course before starting.: they did take a course

✗ C. Buying the most expensive equipment guarantees success.: they avoided the expensive option

✗ D. Always open many locations at once.: they began with one shop

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q4 · question page 68

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Mo wants to sell smoothies. Applying the lesson, which first step fits best?

Answer: B. Take an affordable course and test sales at one small stand

Learning cheaply and testing at one location applies the documented approach.

✗ A. Skip learning and hope customers come: the lesson includes learning the skill

✗ C. Open three cafés in one month: that is a big start

✗ D. Buy the most expensive commercial blender line before testing: that ignores affordable start-up costs

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-M-Q5 · question page 69

ENT.CASE.01 · Apply a documented early decision: learn cheaply, start small

Which statement about the Ben & Jerry's case is accurate?

Answer: C. It shows one start, not a guaranteed result for other shops.

A single story can teach a decision, not promise an outcome.

- ✗ A. It shows founders must start in old gas stations to succeed.: the location is a detail, not the lesson
- ✗ B. It shows courses are never useful.: the course was part of their start
- ✗ D. It proves any ice cream shop will succeed.: one case proves nothing about every shop

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q1 · question page 70

ENT.CASE.01 · Evidence versus enthusiasm

Which is documented in the passage about Ben & Jerry's?

Answer: A. They opened their first shop in a renovated gas station.

The first location is a recorded fact.

- ✗ B. They knew from the first day that they would be very famous.: the passage says nothing about this
- ✗ C. Every customer loved the first flavor.: this is not documented
- ✗ D. They never had any doubts.: this is not documented

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q2 · question page 71

ENT.CASE.01 · Evidence versus enthusiasm

A friend says, "Your ice cream idea will definitely work." What is this?

Answer: B. Enthusiasm, not evidence

An opinion is encouragement, not evidence.

✗ A. A signed customer contract: nothing was signed

✗ C. Proof of demand: no one has paid

✗ D. A documented sale: nothing was sold

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q3 · question page 72

ENT.CASE.01 · Evidence versus enthusiasm

Which is the best evidence that people will buy your ice cream?

Answer: D. Customers paying for scoops at a test stand

Real purchases are the strongest evidence.

✗ A. Many likes on a photo of a cone: likes are not purchases

✗ B. Your family saying it tastes good: family praise is not payment

✗ C. A famous national company also sells ice cream: their success says little about yours

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-B1-Q4 · question page 73

ENT.CASE.01 · Evidence versus enthusiasm

Later fame of a company shows what?

Answer: C. That the company became successful, not that each early step caused it

Success after the fact does not prove cause.

✗ A. That their first shop was the best possible location in the whole state: not shown

✗ B. That every early choice was correct: success does not prove each step caused it

✗ D. That copying them guarantees success: conditions differ

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-B1-Q5 · question page 74

ENT.CASE.01 · Evidence versus enthusiasm

When studying a founder story, what should you separate?

Answer: A. Recorded facts from hopes and opinions

Separating documented facts from enthusiasm keeps lessons honest.

- ✗ B. Dates from names only: trivia is not the point
- ✗ C. Good ice cream flavors from bad ice cream flavors: not the main skill
- ✗ D. Ice cream from bagels: that is a detail of this one case

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-F1-Q1 · question page 75

ENT.CASE.01 · Apply it: an affordable small start for a new business

Ivy wants to open a bike-repair business. Bike-shop rent is high in her town. Applying the lesson, what is the best start?

Answer: B. Learn repairs through an affordable class and start with mobile repairs

Cheap learning plus a low-cost first version applies the documented approach.

- ✗ A. Sign a five-year lease on a large shop on the main street now: a large lease is a big early cost
- ✗ C. Open in three neighborhoods at once: that is not a small start
- ✗ D. Buy every tool before her first customer: that spends heavily before demand is shown

Arithmetic checked by code: not applicable. Sources: case_benjerry

S4-F1-Q2 · question page 76

ENT.CASE.01 · Apply it: an affordable small start for a new business

Two ideas: Idea A needs 20,000 dollars of equipment. Idea B needs 1,500 dollars. Owner savings are 3,000 dollars and her goal is to avoid debt. Which idea fits the lesson and her goal?

Answer: D. Idea B, because its start-up cost fits her savings

1,500 dollars fits within 3,000 dollars of savings; 20,000 would need debt.

- ✗ A. Neither, because all equipment is risky: Idea B fits her budget
- ✗ B. Idea A, because bigger ideas earn more: it needs debt
- ✗ C. Idea A, because expensive equipment always pays for itself: that is not guaranteed

Arithmetic checked by code: yes. Sources: case_benjerry

S4-F1-Q3 · question page 77

ENT.CASE.01 · Apply it: an affordable small start for a new business

Sam wants to make candles. Which first step best matches "learn the skill cheaply"?

Answer: C. Follow a low-cost class and practice small batches

A low-cost class and small batches build skill without a big cost.

- ✗ A. Buy a factory candle machine: that is a large cost
- ✗ B. Hire a candle expert full time: that is costly
- ✗ D. Skip practice and start selling candles to stores at once: it skips learning

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F1-Q4 · question page 78

ENT.CASE.01 · Apply it: an affordable small start for a new business

A food-truck owner wants to "start small." Which plan fits best?

Answer: A. Run the truck at one weekly market before adding more locations

One regular location lets the owner learn before expanding.

- ✗ B. Advertise in every city in the state: too broad for a first test
- ✗ C. Buy three trucks before the first sale: that is a large start
- ✗ D. Open a full restaurant and a food truck together in the first month: two big commitments at once

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F1-Q5 · question page 79

ENT.CASE.01 · Apply it: an affordable small start for a new business

Which statement best applies the case to a new business without overclaiming?

Answer: B. Starting small and affordable lowers risk while you learn.

The transferable lesson is lower risk while learning, not a guaranteed outcome.

- ✗ A. Only ice cream businesses can start small.: any kind can
- ✗ C. Taking a $5 course guarantees profit.: no single step guarantees profit
- ✗ D. Starting a business in an old gas station guarantees success.: a location detail guarantees nothing

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q1 · question page 80

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Lana copies the "start in an old gas station" idea for her bakery, but local zoning may not allow food businesses there. What should she check before signing?

Answer: D. Local zoning and health permit rules for that building

A location that worked elsewhere may not be permitted where she is; she must check local rules.

- ✗ A. Whether the old gas station building looks charming to visitors: appearance does not answer the rules question
- ✗ B. Whether friends like the location: opinions do not answer legal rules
- ✗ C. What year Ben & Jerry's opened: trivia does not help her decision

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q2 · question page 81

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Why might "start with one small shop" fail for an online-only business?

Answer: A. An online business may not need a physical shop at all.

The tactic (a shop) may not fit; the principle (a small affordable start) still can.

- ✗ B. Online businesses must start big.: not true
- ✗ C. Online businesses cannot start small, so the lesson never applies.: they often start very small
- ✗ D. Small shops are illegal online.: that makes no sense

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q3 · question page 82

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Raul says, "They took a $5 course, so I need no other training." What is the main problem?

Answer: B. His business may need more training, licenses or experience.

Different businesses have different requirements; the case does not set his.

- ✗ A. Training is never needed.: many fields need training or licenses
- ✗ C. The $5 course was what caused all of their later success.: one step did not cause the outcome
- ✗ D. Courses always cost 5 dollars.: prices vary

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q4 · question page 83

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

A town already has five ice cream shops. A new owner wants to copy the case exactly. What should be checked first?

Answer: C. Whether there is enough demand for another shop and how it would differ

Market conditions differ; demand and differences must be checked.

✗ A. Which year the founders met: trivia

✗ B. How big the founders' very first sign over the shop door was at the opening: not relevant

✗ D. Whether the founders liked vanilla: not relevant

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S4-F2-Q5 · question page 84

ENT.CASE.01 · Handle the complications: when copying the tactic may not work

Which statement correctly separates history from the course's interpretation?

Answer: C. The shop location is documented; "start small" is a lesson drawn from it.

Facts are recorded; lessons are interpretations.

✗ A. Both the location and the lesson are direct quotes from the two founders.: the lesson is this course's interpretation

✗ B. The lesson is a law that all founders follow.: it is a teaching interpretation

✗ D. Neither is documented.: the location is documented

Arithmetic checked by code: not applicable. Sources: case_benjerry

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S5-M-Q1 · question page 86

ENT.CUST.01 · Identify a real, frequent customer problem

Which statement describes the strongest customer problem?

Answer: B. Restaurant owners spend hours each week fixing their online menus.

Hours spent every week on a task is a frequent, costly problem people already deal with.

✗ A. Some people might enjoy a new kind of phone case someday.: it is a guess with no sign of a costly habit

✗ C. My friends said a glow-in-the-dark mug sounds kind of fun.: a fun idea is not a problem people pay to fix

✗ D. Everyone would probably like more free time in their lives, so it is a problem.: it is vague and names no specific habit

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q2 · question page 87

ENT.CUST.01 · Identify a real, frequent customer problem

What is a "workaround"?

Answer: D. A homemade fix people use because no good solution exists yet

Workarounds, like spreadsheets taped together, are clues that a real problem exists.

✗ A. A product that has already solved the problem fully for everyone: then no workaround would be needed

✗ B. A complaint posted online about a company's prices: a complaint is different from a fix

✗ C. A business rule that customers must follow before buying: that is not what the word means

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q3 · question page 88

ENT.CUST.01 · Identify a real, frequent customer problem

Nina notices dog owners in her building tie their dogs outside the grocery store for 20 minutes. What does this suggest?

Answer: C. A real, repeated problem that a service might solve

A repeated, inconvenient habit is a clue to a real problem worth testing.

✗ A. Nothing useful, because the owners have not complained yet: a costly habit is useful even without complaints

✗ B. Proof that a dog-sitting business will certainly succeed: a clue is not proof of success

✗ D. A sign that dog owners do not care about their pets at all: it shows a

need, not a lack of care

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q4 · question page 89

ENT.CUST.01 · Identify a real, frequent customer problem

Which clue best shows people already spend money on a problem?

Answer: B. Local parents pay 40 dollars an hour for help with math homework.

Money already being spent is strong evidence a problem matters.

✗ A. A news story says homework levels have changed over time.: it says nothing about spending

✗ C. Students post jokes online about long homework assignments.: jokes show no spending

✗ D. Parents say math homework is "annoying" whenever they are asked about it.: a complaint shows no spending

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-M-Q5 · question page 90

ENT.CUST.01 · Identify a real, frequent customer problem

Which is the best first question for finding a real problem?

Answer: C. What tasks take up your time each week that you dislike?

Asking about real tasks and frustrations uncovers problems without pushing an idea.

✗ A. Would you buy my new homework app if I built it for you someday?: it pushes a solution before finding a problem

✗ B. How much would you pay for anything I decide to sell?: it is too vague to reveal a problem

✗ D. Do you agree my idea is clever and worth trying out?: it asks for praise, not problems

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q1 · question page 91

ENT.CUST.01 · Problem, not product

People wait 15 minutes in line for coffee each morning. Which part is the problem?

Answer: B. The 15-minute wait

The wasted time is the problem.

- ✗ A. The coffee shop's menu: the menu is not what bothers them
- ✗ C. The price of coffee: the story is about waiting, not price
- ✗ D. An order-ahead app: that is one possible answer, not the problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q2 · question page 92

ENT.CUST.01 · Problem, not product

Which statement starts with a problem?

Answer: B. Many renters struggle to find quiet study spaces nearby.

It names a struggle people have.

- ✗ A. I will sell bright blue backpacks to everyone.: it starts with a product
- ✗ C. My brand will have a lightning bolt logo.: it starts with branding
- ✗ D. I want to build an app with many cool features for people.: it starts with a product

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q3 · question page 93

ENT.CUST.01 · Problem, not product

Why start with the problem?

Answer: C. So you do not build something nobody needs

Understanding the problem first keeps you from building the wrong thing.

✗ A. So the product is as expensive as possible: price is unrelated

✗ B. So you can skip talking to customers completely: problems are found by talking to customers

✗ D. So you can choose a business name sooner: naming is not the reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q4 · question page 94

ENT.CUST.01 · Problem, not product

An order-ahead app is one answer to long lines. Which is another possible answer?

Answer: B. Adding a second cashier during rush hour

A second cashier also addresses the wait; problems can have several answers.

✗ A. Making the coffee cups larger than before: it does not reduce waiting

✗ C. Raising the price of a large coffee: it does not reduce waiting

✗ D. Changing the color of the store sign: it does not reduce waiting

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-B1-Q5 · question page 95

ENT.CUST.01 · Problem, not product

Which is a product, not a problem?

Answer: C. A meal-planning app

An app is a possible answer, so it is a product.

✗ A. Workers with no time to cook dinner: that is a problem

✗ B. Families wasting food every week: that is a problem

✗ D. Shoppers forgetting items at the store: that is a problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q1 · question page 96

ENT.CUST.01 · Apply it: choose the problem worth testing

Three problems a student heard about. Which is best to test first? (1) Neighbors pay a teen 20 dollars to carry groceries upstairs weekly. (2) A cousin wishes shoes came in more colors. (3) A friend says parking is annoying sometimes.

Answer: B. Problem 1, because people already pay to solve it every week

Weekly paid help is frequent and already costs money, so it is the strongest to test.

- ✗ A. Problem 3, because parking is a common topic that comes up in towns: it is vague and occasional
- ✗ C. None, because none of these is a real problem at all: problem 1 shows paid, repeated demand
- ✗ D. Problem 2, because more colors would be fun to design: a wish shows no spending or frequency

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q2 · question page 97

ENT.CUST.01 · Apply it: choose the problem worth testing

A small bakery owner spends 5 hours a week answering the same questions about allergies by phone. Which business idea targets this problem most directly?

Answer: C. A clear allergy guide and order form for bakeries

A clear guide answers the repeated questions that cost the owner time.

- ✗ A. A new line of colorful bakery boxes for cakes: boxes do not reduce phone questions
- ✗ B. A social media page with funny bakery jokes and memes for customers: jokes do not answer allergy questions
- ✗ D. A discount coupon book for bakery customers: coupons do not reduce the questions

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q3 · question page 98

ENT.CUST.01 · Apply it: choose the problem worth testing

Which observation most clearly shows a workaround?

Answer: B. Office workers share one spreadsheet to track lunch orders.

A shared spreadsheet is a homemade fix for an unsolved coordination problem.

- ✗ A. Office workers buy lunch from three different nearby restaurants.: buying is not a workaround
- ✗ C. Office workers prefer lunch at noon most days.: a preference is not a fix
- ✗ D. Office workers enjoy eating lunch together on Fridays.: enjoyment is not a homemade fix

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q4 · question page 99

ENT.CUST.01 · Apply it: choose the problem worth testing

A landscaper hears one client say, once, that leaf blowers are loud. What is the best next step?

Answer: D. Ask more clients whether noise is a repeated problem for them

One comment is a clue; asking more people checks whether it is a real, shared problem.

- ✗ A. Ignore it, since only complaints written down in emails count: spoken comments can be useful clues
- ✗ B. Launch a "quiet landscaping" brand next week: too early to build on one remark
- ✗ C. Buy quiet equipment for the whole crew today: one comment is not enough evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F1-Q5 · question page 100

ENT.CUST.01 · Apply it: choose the problem worth testing

Two problems: A happens once a year and costs 10 dollars. B happens weekly and costs 30 dollars each time. Over a year (52 weeks), how much does B cost a person?

Answer: D. 1,560 dollars

30 x 52 = 1,560 dollars, far more than problem A's 10 dollars.

- ✗ A. 30 dollars: that is just one week
- ✗ B. 520 dollars: that uses 10 dollars instead of 30
- ✗ C. 1,300 dollars: that uses 25 dollars instead of 30

Arithmetic checked by code: yes. Sources: none (stable)

S5-F2-Q1 · question page 101

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Many people say traffic is terrible, but none would pay for a service to avoid it. What does this show?

Answer: B. A common complaint is not always a problem people will pay to solve.

Complaints show a problem exists; willingness to pay must still be checked.

- ✗ A. Every complaint can become a profitable business quickly.: not every complaint leads to paying customers
- ✗ C. People will always pay as soon as any service exists, without exception.: there is no evidence of that
- ✗ D. Traffic is not a real problem for anyone who drives to work.: it is real; the issue is paying

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q2 · question page 102

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Leah's idea solves a problem only she has. Before building it, what should she check?

Answer: C. Whether other people have the same problem and spend on it

Her own problem is a start, but a business needs others with the same problem.

- ✗ A. Whether she can design a logo for it this week: a logo does not show

others share the problem

✗ B. Whether a big company already has a famous product like it: that does not answer her question directly

✗ D. Whether her own problem bothers her a lot: she already knows it bothers her

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q3 · question page 103

ENT.CUST.01 · Handle the complications: real problem or just interesting?

A problem is frequent and annoying, but free tools already solve it well. What is the main thing to learn next?

Answer: B. Why someone would choose a paid option over the free ones

With free alternatives, a paid offer needs a clear reason people would switch.

✗ A. How to make the free tools stop working well for people: that is not a fair or useful plan

✗ C. Whether the problem is frequent: already known

✗ D. Whether the problem exists at all in this market: already known

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q4 · question page 104

ENT.CUST.01 · Handle the complications: real problem or just interesting?

Which piece of information is MISSING before deciding a problem is worth solving? The problem is frequent and people complain about it.

Answer: A. Whether people already spend time or money to fix it

Spending time or money shows the problem matters enough to pay for a fix.

✗ B. Whether the founder enjoys thinking about it every day: enjoyment does not show demand

✗ C. Whether the problem was in the news this year: news coverage does not show spending

✗ D. Whether the problem has a catchy name for marketing: a name does not show it matters

Arithmetic checked by code: not applicable. Sources: none (stable)

S5-F2-Q5 · question page 105

ENT.CUST.01 · Handle the complications: real problem or just interesting?

A student found that dorm residents lose keys often. Replacing a key costs 25 dollars and happens to about 40 residents per term. What total amount do residents spend on replacements each term?

Answer: D. 1,000 dollars

25 x 40 = 1,000 dollars a term, which shows real spending on the problem.

✗ A. 40 dollars: that is the number of residents
✗ B. 65 dollars: that adds instead of multiplying
✗ C. 250 dollars: that uses 10 residents instead of 40

Arithmetic checked by code: yes. Sources: none (stable)

S6-M-Q1 · question page 107

ENT.CUST.02 · Describe a specific customer group

Which customer description is the most specific?

Answer: D. Owners of food trucks in Austin who take card payments

A specific type of owner, place and situation makes a group you can find.

✗ A. Small businesses of every kind everywhere in the whole world: it is far too broad
✗ B. Anyone in Texas who might want to buy things: it is far too broad
✗ C. People who like food and eat out sometimes: it describes almost everyone

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q2 · question page 108

ENT.CUST.02 · Describe a specific customer group

Why does a specific customer group help a new business?

Answer: A. It guides words, prices and where to advertise.

Knowing exactly who you serve shapes your message, price and channels.

- ✗ B. It guarantees that every customer will buy at once.: nothing guarantees sales
- ✗ C. It removes the need to test the idea with anyone.: testing is still needed
- ✗ D. It means the business can never sell to others later.: the group can widen later

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q3 · question page 109

ENT.CUST.02 · Describe a specific customer group

Rewrite "busy people" as a more specific customer. Which is best?

Answer: B. Nurses working night shifts who have little time to cook

Night-shift nurses are a group with a clear situation and need.

- ✗ A. All adults who have jobs in any kind of field: still too broad
- ✗ C. Busy people who use the internet every single day for work: still too broad
- ✗ D. People who are busy and want things to be easier: still too broad

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q4 · question page 110

ENT.CUST.02 · Describe a specific customer group

A tutor writes, "My customers are students." What detail would make this most useful?

Answer: C. High-school juniors preparing for a specific math exam

A grade, a goal and a subject make the customer group clear.

✗ A. Students who like learning new things at school every week: still very broad

✗ B. Students who have smartphones and laptops: device ownership is not the key need

✗ D. Students of any age anywhere in the country: still very broad

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-M-Q5 · question page 111

ENT.CUST.02 · Describe a specific customer group

Which detail helps you FIND a specific customer group?

Answer: D. Where they gather, such as a local parents' group

Knowing where a group gathers tells you where to reach them.

✗ A. How many hours they usually sleep each night of the week: it does not tell you where to reach them

✗ B. Their favorite color, if it is known: it rarely helps you reach them

✗ C. Whether they like your logo design: it does not help you find them

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q1 · question page 112

ENT.CUST.02 · Narrowing "everyone" step by step

Which step narrows "people who need meals" by situation?

Answer: B. People recovering from surgery

A situation like surgery recovery narrows the group.

✗ A. People who eat food: that does not narrow

✗ C. People who live on planet Earth: that does not narrow anything

✗ D. People who like meals: that does not narrow

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q2 · question page 113

ENT.CUST.02 · Narrowing "everyone" step by step

Which step narrows a group by place?

Answer: A. In our city

"In our city" is a place.

- ✗ B. Who order online: that is a behavior
- ✗ C. Who are adults: that is age
- ✗ D. Who like good food: that is a preference

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q3 · question page 114

ENT.CUST.02 · Narrowing "everyone" step by step

Why narrow the customer group?

Answer: A. To find people with a clear need you can reach

A narrower group is easier to reach and serve well.

- ✗ B. To make all prices higher automatically for every buyer: narrowing does not set prices
- ✗ C. To avoid all marketing: you still market
- ✗ D. To sell to fewer people forever: you can widen later

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q4 · question page 115

ENT.CUST.02 · Narrowing "everyone" step by step

"Family members ordering meals for someone after surgery in our city." How many narrowing steps does it include beyond "people"?

Answer: C. Three: situation, place and who orders

It adds a situation (surgery), a place (our city) and the buyer (family member).

- ✗ A. One: only the city: it also names situation and who orders
- ✗ B. None at all: it adds several details
- ✗ D. Ten different steps, one for each word in it: it has three main details

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-B1-Q5 · question page 116

ENT.CUST.02 · Narrowing "everyone" step by step

Which group is narrower?

Answer: D. Dog owners in one apartment complex who work late

Adding a place and a situation makes the group narrower.

- ✗ A. People who have some animals living nearby them: very broad
- ✗ B. Pet owners: broader still
- ✗ C. Dog owners: broader

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q1 · question page 117

ENT.CUST.02 · Apply it: pick a first customer group

Ray sells a scheduling tool. He can afford to reach only one group first. Which group is best to start with?

Answer: A. Independent hair stylists who book clients by text

A narrow group with a clear scheduling pain fits a small budget.

- ✗ B. Anyone who owns a smartphone in the country: too broad
- ✗ C. People who think calendars are useful: too vague
- ✗ D. All businesses that have any kind of schedule at all: too broad to reach with a small budget

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q2 · question page 118

ENT.CUST.02 · Apply it: pick a first customer group

Iris makes gluten-free cupcakes. Which first customer group best fits her product?

Answer: D. Parents planning parties for children who cannot eat gluten

This group has a specific need her cupcakes meet.

- ✗ A. Anyone who likes eating sweet desserts on the weekends: too broad
- ✗ B. Restaurants of every type: too broad
- ✗ C. People who prefer salty snacks: not likely buyers

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q3 · question page 119

ENT.CUST.02 · Apply it: pick a first customer group

A fitness coach targets "people who want to be healthy." Signups are low. What change is most likely to help?

Answer: C. Focus on new parents who want 20-minute home workouts

A specific group with a clear situation makes the offer easier to understand.

- ✗ A. Charge the same price but add more fonts and colors: design does not fix a vague target
- ✗ B. Target "everyone who breathes": even broader
- ✗ D. Remove all descriptions of who it is for: that makes it less clear

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q4 · question page 120

ENT.CUST.02 · Apply it: pick a first customer group

Which detail matters MOST when choosing a customer group for a home-repair service?

Answer: B. Homeowners nearby who cannot do repairs themselves

Location and need decide who can actually become a customer.

✗ A. Renters whose landlord fixes everything: they may not pay for repairs

✗ C. People who live far outside the area the service covers: they cannot be served

✗ D. People who watch home TV shows: watching does not mean needing repairs

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F1-Q5 · question page 121

ENT.CUST.02 · Apply it: pick a first customer group

A group has 2,000 people. A business expects 1 out of every 100 to buy. How many buyers is that?

Answer: B. 20

2,000 / 100 = 20 expected buyers.

✗ A. 2: that is 1 out of 1,000

✗ C. 100: that confuses the rate

✗ D. 200: that is 1 out of 10

Arithmetic checked by code: yes. Sources: none (stable)

S6-F2-Q1 · question page 122

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A seller picked "left-handed violinists in one small town." There are about 5 of them. What is the main risk?

Answer: A. The group may be too small to support the business.

A group must be specific but also large enough to sustain sales.

✗ B. The group is perfect because narrow is always better.: narrow groups can be too small

✗ C. The group is too broad to reach at all.: it is very narrow

✗ D. The group must be wrong because violinists exist everywhere.: the issue is size, not existence

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q2 · question page 123

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A founder describes her customer clearly but has not spoken to any of them. What should she do next?

Answer: A. Talk to several people in that group to confirm the need

A clear description is a guess until people in the group confirm it.

✗ B. Build the full product right away: the need is not confirmed

✗ C. Pay for a large ad campaign immediately: too early

✗ D. Widen the group to everyone living anywhere in her state: widening does not confirm the need

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q3 · question page 124

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

Two possible groups for a laundry pickup service: students in one dorm (300 people, no cars) or families in a suburb (3,000 people, most have washers). The goal is a quick first test. Which is the better first group?

Answer: B. The dorm students, because they lack washers and cars and are close together

A smaller group with a stronger need and easy reach fits a quick test.

✗ A. Neither, because laundry is not a real need: laundry is a common need

✗ C. Both at once, to cover every possible customer: that is not a quick focused test

✗ D. The suburb families, because their number is ten times larger than the dorm: most have washers, so need is lower

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q4 · question page 125

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A business sells to small offices, but the person who uses the product is not the person who pays. Which detail should the customer description include?

Answer: C. Who makes the buying decision in the office

Knowing the decision-maker tells you whom to convince.

- ✗ A. The color of the office walls: not relevant
- ✗ B. What music the users like to listen to while they work: not relevant to buying
- ✗ D. How many windows the office has: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S6-F2-Q5 · question page 126

ENT.CUST.02 · Handle the complications: too narrow, too broad, or untested

A group of 500 customers each buy once a month and spend 12 dollars. If 10 percent of them become your customers, what are your expected monthly sales?

Answer: A. 600 dollars

10 percent of 500 is 50 customers; 50 x 12 = 600 dollars.

- ✗ B. 50 dollars: that is the number of customers
- ✗ C. 60 dollars: that uses 5 customers
- ✗ D. 6,000 dollars: that uses all 500 people

Arithmetic checked by code: yes. Sources: none (stable)

S7-M-Q1 · question page 128

ENT.CUST.03 · Write and judge a clear offer

Which offer is the clearest?

Answer: D. For new runners, we create 8-week plans so you finish your first 5K injury-free.

It names the customer, the help and the result.

- ✗ A. Our company has many years of fitness experience in sports.: it talks about the company, not the customer
- ✗ B. We offer the very best fitness services and the highest quality for all of you.: vague; no customer or result
- ✗ C. Fitness for everyone, everywhere, always, at great prices.: too broad to mean anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q2 · question page 129

ENT.CUST.03 · Write and judge a clear offer

What three parts should a clear offer include?

Answer: B. The customer, the problem, and the result they get

Who, what problem, and what result make an offer clear.

- ✗ A. A slogan, a logo, and a list of the owner's hobbies: those are not the parts of an offer
- ✗ C. A discount, a deadline, and a free gift for every buyer: promotions are not the core offer
- ✗ D. The founding date, the address, and the office hours: useful details, but not the offer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q3 · question page 130

ENT.CUST.03 · Write and judge a clear offer

Why is "best quality cleaning" a weak offer?

Answer: B. It does not say who it is for or what result they get.

Vague praise does not tell the customer what they get.

- ✗ A. It mentions cleaning, which customers usually find very boring.: the topic is fine
- ✗ C. It is too short to be shown on a sign or website.: length is not the problem
- ✗ D. It is illegal to describe a service as good.: it is not illegal; it is vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q4 · question page 131

ENT.CUST.03 · Write and judge a clear offer

Fill in the pattern for a meal-prep business: "For ___ who ___, we ___ so you can ___." Which is best?

Answer: D. Night-shift nurses / have no time to cook / deliver ready meals / eat well at work

Each blank is specific and describes the customer's situation and result.

- ✗ A. Customers / want some food / have a kitchen at home / pay us money today: it does not name a real problem or result
- ✗ B. Our team / loves cooking / make meals / buy from us: it centers the business, not the customer
- ✗ C. Everyone / is hungry / sell food / be happy: too vague to guide anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-M-Q5 · question page 132

ENT.CUST.03 · Write and judge a clear offer

Which phrase states a RESULT for the customer?

Answer: A. so your taxes are filed on time without stress

A result says what the customer gets.

- ✗ B. we use the latest accounting software: that describes the business's

tools

✗ C. our accountants have many certificates on the wall: that describes the business

✗ D. we are open on weekdays until five: that is a detail, not a result

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q1 · question page 133

ENT.CUST.03 · Customer, problem, result

In "Busy commuters: car washed in 10 minutes," who is the customer?

Answer: C. Busy commuters

Busy commuters are named as the customer.

✗ A. The coffee shop: not the customer here

✗ B. The car wash owner: the owner sells the service

✗ D. The cars: cars do not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q2 · question page 134

ENT.CUST.03 · Customer, problem, result

In the same sign, what is the result?

Answer: C. A clean car in 10 minutes

The result is what the customer gets.

✗ A. Quality car care for everyone: that is vague

✗ B. Coffee: coffee is not the service

✗ D. Busy commuters: that is the customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q3 · question page 135

ENT.CUST.03 · Customer, problem, result

Which question does an offer help a customer answer?

Answer: A. "Is this for me?"

An offer helps customers see whether it fits them.

- ✗ B. "What year was the company founded?": not part of the offer
- ✗ C. "Who designed the logo?": not relevant
- ✗ D. "What is the owner's favorite food?": not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q4 · question page 136

ENT.CUST.03 · Customer, problem, result

Which sign answers all three questions?

Answer: C. New parents: we deliver diapers within 2 hours so you never run out

It names the customer, the problem and the result.

- ✗ A. Diapers and more since 2010: no result
- ✗ B. Quality products for families who shop with us every week: no problem or result
- ✗ D. The best store in town: vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-B1-Q5 · question page 137

ENT.CUST.03 · Customer, problem, result

"Quality car care" fails to tell the customer what?

Answer: A. Who it is for, what problem it fixes, or what they get

Vague phrases answer none of the three questions.

- ✗ B. Where the owner went to school: not relevant
- ✗ C. That the business washes cars at all for customers: it does hint at car

care

✗ D. The price of every service: price is a separate detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q1 · question page 138

ENT.CUST.03 · Apply it: improve a real-sounding offer

A dog groomer's website says "Pampering pets with love." She mainly serves large dogs that are anxious at busy salons. Which rewrite is best?

Answer: B. Calm, one-on-one grooming for large, nervous dogs, with no waiting room

It names who it is for and the result that fits their problem.

✗ A. The best grooming in the entire state of Ohio: an unsupported claim, not a clear offer

✗ C. Grooming since 2015 with many happy tails: about the business, not the customer result

✗ D. Pampering all pets with even more love and care every single day: still vague

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q2 · question page 139

ENT.CUST.03 · Apply it: improve a real-sounding offer

A bookkeeper's draft offer: "We do numbers." Which addition helps most?

Answer: C. Who she serves and what result they get, like on-time monthly records

Naming the customer and result turns "we do numbers" into an offer.

✗ A. More exclamation marks to show excitement: punctuation adds no meaning

✗ B. A bigger logo at the top of the page: design does not clarify the offer

✗ D. A longer list of her favorite software brands and computer tools: tools

are not the result

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q3 · question page 140

ENT.CUST.03 · Apply it: improve a real-sounding offer

Which offer is honest AND clear for a new tutor with no results data yet?

Answer: D. For 7th graders behind in fractions: weekly 1-on-1 practice with a written plan

It is specific without promising results she cannot prove.

✗ A. The top-rated tutor in the whole country, according to everyone who knows: an unsupported claim

✗ B. Guaranteed A grades for every student who signs up: a guarantee she cannot support

✗ C. Tutoring that is simply better than all the others: vague and unsupported

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q4 · question page 141

ENT.CUST.03 · Apply it: improve a real-sounding offer

Two offers for a cleaning service. A: "Spotless homes." B: "For renters moving out: a deposit-ready clean in one day." The owner wants more move-out jobs. Which fits that goal?

Answer: C. Offer B, because it names move-out renters

Offer B speaks directly to the customer and job the owner wants.

✗ A. Both are the same, because both mention cleaning: only B names the target job

✗ B. Neither, because offers do not affect bookings: a clear offer helps the right customers act

✗ D. Offer A, because shorter is always better: shorter is not always clearer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F1-Q5 · question page 142

ENT.CUST.03 · Apply it: improve a real-sounding offer

Which phrase should be removed from an offer because it cannot be checked?

Answer: D. "the world's best"

Superlatives like "world's best" are unsupported and say nothing specific.

- ✗ A. "with a written quote first": that is a specific detail
- ✗ B. "in 48 hours": that is a specific result
- ✗ C. "for small restaurants": that names a customer

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q1 · question page 143

ENT.CUST.03 · Handle the complications: honest, specific, and tested

An offer promises "results in 24 hours," but the owner usually needs 3 days. What is the best fix?

Answer: D. Change the promise to match the real delivery time

An offer must match what the business can actually deliver.

- ✗ A. Keep the promise and apologize later: that misleads customers
- ✗ B. Promise even faster results so she can beat her competitors: that makes it more misleading
- ✗ C. Remove all timing so customers cannot complain: customers need to know timing

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q2 · question page 144

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A founder wrote a clear offer but has no idea if customers care about the stated result. What should she check?

Answer: A. Whether target customers say that result matters to them

The offer's promised result must matter to the actual customers.

- ✗ B. Whether her family likes the wording: family is not the target customer
- ✗ C. Whether the sentence has a nice rhythm when read aloud: style is secondary
- ✗ D. Whether the font matches her logo: not relevant to customer interest

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q3 · question page 145

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A web designer serves both restaurants and law firms with very different needs. One offer for both sounds vague. What is a sensible approach?

Answer: C. Write a separate clear offer for each customer group

Different groups often need different offers.

- ✗ A. Stop serving one of the groups without checking demand: not required; separate offers can work
- ✗ B. Keep one vague offer to cover everyone: vagueness is the problem
- ✗ D. Remove all mention of who the service is for: that makes it less clear

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q4 · question page 146

ENT.CUST.03 · Handle the complications: honest, specific, and tested

A competitor's offer is "fast delivery." Yours is the same. What should you check before deciding how to stand out?

Answer: B. What else your customers care about that you do well

Learning what customers value lets you offer a real difference.

- ✗ A. How to copy the competitor's logo: copying a logo can be a legal problem
- ✗ C. Whether to remove delivery from your offer completely: delivery may still

matter

✗ D. How to claim you are faster without proof: that would mislead

Arithmetic checked by code: not applicable. Sources: none (stable)

S7-F2-Q5 · question page 147

ENT.CUST.03 · Handle the complications: honest, specific, and tested

Which offer could mislead customers?

Answer: A. "Doctor-approved" when no doctor has reviewed the product

Claims must be true; an unreviewed "doctor-approved" claim is false.

✗ B. "Includes a printed instruction sheet" when it really does: accurate

✗ C. "Ships within 2 business days" when it does: accurate

✗ D. "For runners training for a first marathon": a customer description

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q1 · question page 149

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A school pays for a reading app that students use. Who is the paying customer?

Answer: D. The school

The school pays, so it is the customer.

✗ A. The students who use the app every day: they are the users, but they do not pay

✗ B. The app's designers who built the screens: they make the product

✗ C. The parents who never see the bill: in this case the school pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q2 · question page 150

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A dog-walking service. Who are the user and the customer?

Answer: C. The dog uses the walks; the owner pays.

The owner pays (customer); the dog enjoys the walk (user).

✗ A. The park is the customer and the owner is the user.: the park is not involved in paying

✗ B. The walker is both the user and the customer here.: the walker provides the service

✗ D. The owner uses the walks; the dog pays for them.: dogs do not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q3 · question page 151

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A manager must approve any new software her team uses. What is the manager's role?

Answer: A. The decision-maker

Approving the purchase makes her the decision-maker.

✗ B. The competitor of the software company: not a competitor

✗ C. The supplier of the software to the business: the manager buys, not supplies

✗ D. The user, since the manager tests the software daily: the team uses it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q4 · question page 152

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

Why does it matter that the customer and user can be different?

Answer: D. You must persuade the payer while serving the user.

Sales depend on the payer; satisfaction depends on the user.

✗ A. It means you never need to talk to customers.: you need to talk to both

✗ B. It means only the payer matters when designing the product.: the product must still work for the user

✗ C. It means only the user matters for sales.: the payer must also be convinced

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-M-Q5 · question page 153

ENT.CUST.04 · Tell the paying customer from the user and the decision-maker

A grandparent buys a video game for a grandchild. Who is the user?

Answer: C. The grandchild

The grandchild plays the game.

✗ A. The grandparent who paid for the game: that is the customer

✗ B. The store clerk who rang up the sale: the clerk works for the store

✗ D. The game company that made the game: the maker is not the user

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q1 · question page 154

ENT.CUST.04 · Who pays, who uses

For a child's soccer camp, whose money pays?

Answer: D. The parent's

The parent pays.

✗ A. The child's: children rarely pay

✗ B. The coach's: the coach is paid

✗ C. The field owner's: not involved

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q2 · question page 155

ENT.CUST.04 · Who pays, who uses

You buy a coffee for yourself. Who is the user?

Answer: A. You

You pay and drink it, so you are both customer and user.

- ✗ B. The café owner: the owner sells it
- ✗ C. The coffee farmer: the farmer grows beans
- ✗ D. The barista: the barista makes it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q3 · question page 156

ENT.CUST.04 · Who pays, who uses

A company buys office chairs. Who uses them?

Answer: B. The workers

Workers sit in the chairs.

- ✗ A. The chair maker: the maker sells
- ✗ C. The bank: not involved
- ✗ D. The delivery driver: the driver delivers

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q4 · question page 157

ENT.CUST.04 · Who pays, who uses

Which two questions separate customer and user?

Answer: A. "Who pays?" and "Who uses it?"

Asking who pays and who uses separates the roles.

- ✗ B. "Who built it?" and "Who sold it?": those are about the seller
- ✗ C. "When?" and "Where?": timing and place
- ✗ D. "What color?" and "What size?": product details

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-B1-Q5 · question page 158

ENT.CUST.04 · Who pays, who uses

A pet owner buys a cat toy. Who is the customer?

Answer: C. The pet owner

The owner pays.

- ✗ A. The pet store's landlord: not involved
- ✗ B. The cat: the cat uses it
- ✗ D. The toy factory: the factory makes it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q1 · question page 159

ENT.CUST.04 · Apply it: who to convince and who to serve

Lia sells an after-school coding club. Kids love it, but few sign up. Who should her marketing mainly speak to?

Answer: D. Parents, who pay and decide

Parents pay and decide, so the message must reach them.

- ✗ A. Kids only, since they enjoy the club most: kids do not usually pay
- ✗ B. Other coding clubs nearby: competitors do not sign up
- ✗ C. Teachers, since they grade homework: teachers do not pay for the club

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q2 · question page 160

ENT.CUST.04 · Apply it: who to convince and who to serve

A company's IT manager approves software, but sales staff use it. Which feedback is MOST important when improving daily ease of use?

Answer: B. Feedback from the sales staff who use it daily

Daily users know what makes the product easy or hard to use.

- ✗ A. Feedback from the CEO's family: they do not use it
- ✗ C. Feedback only from the IT manager: the manager does not use it daily
- ✗ D. Feedback from a competitor's customers in another town: not the users

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q3 · question page 161

ENT.CUST.04 · Apply it: who to convince and who to serve

A senior-care service is used by older adults, but adult children usually pay. Which detail should the website make clear for the payers?

Answer: C. Safety, schedules and how they will be kept informed

Payers want to know their parent is safe and that they will be informed.

- ✗ A. A long history of the company's logo: not relevant
- ✗ B. The owner's favorite movies: not relevant
- ✗ D. Games the care staff like to play on their breaks: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q4 · question page 162

ENT.CUST.04 · Apply it: who to convince and who to serve

A dentist's office buys a booking tool. The receptionist uses it; the dentist pays. The receptionist says it is confusing. What is the risk to the seller?

Answer: B. The office may cancel if the daily user struggles.

If the user struggles, the payer may stop paying.

- ✗ A. The receptionist will become the payer: roles do not switch that way
- ✗ C. The tool will start working better by itself over time: it will not fix itself
- ✗ D. No risk, because the dentist already paid: unhappy users often lead to cancellation

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F1-Q5 · question page 163

ENT.CUST.04 · Apply it: who to convince and who to serve

A toy costs 30 dollars. A parent buys 2 for twins. How much does the customer pay?

Answer: A. 60 dollars

30 x 2 = 60 dollars, paid by the parent (the customer).

- ✗ B. 30 dollars: that is one toy
- ✗ C. 32 dollars: that adds 2 instead of multiplying
- ✗ D. 15 dollars: that halves the price

Arithmetic checked by code: yes. Sources: none (stable)

S8-F2-Q1 · question page 164

ENT.CUST.04 · Handle the complications: several people in one decision

A small business owner pays for payroll software, the accountant recommends it, and staff use it. Who has the final say on buying?

Answer: A. The owner, who pays and approves the purchase

The owner pays and approves; others influence the choice.

- ✗ B. The staff, because they use it: users do not usually approve purchases
- ✗ C. The software's salesperson: the seller does not decide for the buyer
- ✗ D. The accountant, because she was the one who suggested it: she influences but does not pay

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q2 · question page 165

ENT.CUST.04 · Handle the complications: several people in one decision

A seller pitches only to users, who love the product, but no one buys. Which detail is most likely missing?

Answer: C. Convincing the person who controls the budget

Users cannot buy without the budget holder's approval.

- ✗ A. A longer company history page: not the main issue
- ✗ B. A brighter product color: not the main issue
- ✗ D. More features that the users did not ask for: users already like it

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q3 · question page 166

ENT.CUST.04 · Handle the complications: several people in one decision

A grant program pays for students' summer classes, and the students choose the class. Who is the paying customer?

Answer: C. The grant program

The program's money pays, so it is the paying customer here.

- ✗ A. The school building: not a payer
- ✗ B. The teacher: the teacher provides the class
- ✗ D. The students: they choose, but the grant pays

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q4 · question page 167

ENT.CUST.04 · Handle the complications: several people in one decision

Before writing a sales message, what should a business check first in a new market?

Answer: D. Who pays, who decides, and who uses

Knowing the roles tells you whom each message is for.

- ✗ A. What price ends in .99: pricing tricks come later
- ✗ B. Which font is most popular this year: design comes later
- ✗ C. How many likes competitors get: likes do not identify the buyer

Arithmetic checked by code: not applicable. Sources: none (stable)

S8-F2-Q5 · question page 168

ENT.CUST.04 · Handle the complications: several people in one decision

A daycare charges 200 dollars a week per child. A family enrolls 2 children for 4 weeks. How much does the family pay?

Answer: A. 1,600 dollars

200 x 2 x 4 = 1,600 dollars, paid by the family (customer) for the children (users).

- ✗ B. 400 dollars: that is one week
- ✗ C. 800 dollars: that counts only one child
- ✗ D. 206 dollars: that adds instead of multiplying

Arithmetic checked by code: yes. Sources: none (stable)

S9-M-Q1 · question page 170

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

According to the passage, what problem did Blakely start with?

Answer: D. She wanted a smooth look under white pants.

The passage says she cut pantyhose to wear under white pants.

- ✗ A. She wanted to open a factory for making fabric.: not in the passage
- ✗ B. She wanted cheaper shoes for running on trails.: not in the passage
- ✗ C. She wanted a new kind of store for selling dresses.: not in the passage

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q2 · question page 171

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

How much of her own money does the passage say she started with?

Answer: A. $5,000

The documented amount is $5,000 of savings.

- ✗ B. No money at all, only loans: she used her savings

✗ C. $50,000: the passage says $5,000

✗ D. $500: the passage says $5,000

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q3 · question page 172

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Which lesson does this course draw?

Answer: D. Your own problem can be a start, but check that others share it.

The lesson pairs a personal problem with evidence from others.

✗ A. Your own problem always proves a large market exists for it.: one person is not a market

✗ B. Big stores accept every new product quickly.: not a lesson from the passage

✗ C. Manufacturers always say yes to new ideas.: several turned her down

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-M-Q4 · question page 173

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Theo is annoyed that his bike lock is heavy. Applying the lesson, what should he do first?

Answer: C. Ask other cyclists whether heavy locks bother them and what they use

He should test whether others share his problem before investing.

✗ A. Assume every cyclist feels exactly as he does about heavy locks: he needs evidence

✗ B. Order 5,000 lighter locks today: no evidence others want them

✗ D. Wait until a manufacturer calls him: he should gather evidence himself

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-M-Q5 · question page 174

ENT.CASE.02 · Apply a documented decision: your own problem, then evidence others share it

Which statement about this case is accurate?

Answer: B. Rejections came before a manufacturer agreed.

The passage documents several rejections before a yes.

- ✗ A. Her success guarantees others the same result.: one case guarantees nothing
- ✗ C. She started with a large outside investment.: she used her own savings
- ✗ D. The first manufacturer she asked said yes.: the passage says several turned her down

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q1 · question page 175

ENT.CASE.02 · One person's problem versus a market

Your own frustration with a product is best described as what?

Answer: A. A clue worth checking

Your own problem is a starting clue.

- ✗ B. A guarantee of sales: nothing guarantees sales
- ✗ C. Proof of a large market: one person is not a market
- ✗ D. A finished business plan: it is only a start

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q2 · question page 176

ENT.CASE.02 · One person's problem versus a market

What is a market, in plain words?

Answer: D. Many people with the same need who will pay

A market is many people with a shared need willing to pay.

✗ A. A building where products are sold: that is another meaning of "market"

✗ B. One person with a strong opinion: one person is not a market

✗ C. A list of your friends' favorite things to buy: friends are a small, biased group

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q3 · question page 177

ENT.CASE.02 · One person's problem versus a market

How do you check whether others share your problem?

Answer: A. Ask other people about their experience

Asking others is how you check.

✗ B. Assume they all feel exactly the same as you do: assuming is not checking

✗ C. Design a logo first: a logo does not check need

✗ D. Buy inventory first: that spends before checking

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-B1-Q4 · question page 178

ENT.CASE.02 · One person's problem versus a market

A "sample of one" means what?

Answer: A. Evidence from only one person

It means the evidence comes from one person.

✗ B. A product that sells once: not the meaning here

✗ C. A free sample given to one customer: a different meaning

✗ D. A test with a thousand people: that is large

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-B1-Q5 · question page 179

ENT.CASE.02 · One person's problem versus a market

Which shows that others share a problem?

Answer: B. Many people describe it and already pay for fixes

Many people with the problem who pay is evidence.

- ✗ A. You personally feel very strongly about it: that is one person
- ✗ C. Your friend nods politely: politeness is not evidence
- ✗ D. The idea sounds clever: cleverness is not evidence

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-F1-Q1 · question page 180

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Ana hates that her reusable water bottle leaks in her bag. Which first step best applies the lesson?

Answer: D. Survey commuters about leaking bottles and what they do now

Asking many commuters checks whether her problem is shared.

- ✗ A. Post a logo and wait for orders: no evidence gathered
- ✗ B. Ask only her mother whether bottles leak: one person is not enough
- ✗ C. Buy a bottle factory before telling anyone about the idea: too much spending first

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-F1-Q2 · question page 181

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Ken's own frustration is finding parking at the gym. He asks 30 gym members, and 25 say it bothers them. What fraction said it bothers them?

Answer: C. 25 out of 30, which is about 83 percent

25 / 30 is about 0.83, or about 83 percent.

- ✗ A. 25 out of 100: he asked 30 people
- ✗ B. 30 out of 25: that reverses the numbers
- ✗ D. 5 out of 30, which is about 17 percent: that is the number NOT bothered

Arithmetic checked by code: yes. Sources: case_spanx

S9-F1-Q3 · question page 182

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Mei solved her own problem (tangled earbuds) with a clip. Ten friends tried it and liked it, but none would pay. What does this suggest?

Answer: C. Liking it is not the same as paying; she needs more evidence.

Approval without payment is weak evidence of demand.

- ✗ A. Her friends' approval proves a market.: approval is not payment
- ✗ B. She should give up all ideas forever.: one weak test does not end every idea
- ✗ D. She should order thousands of clips from a factory today.: no one has shown willingness to pay

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F1-Q4 · question page 183

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Which plan follows the lesson with the least money at risk?

Answer: B. Make 20 samples and try selling them at one market

A small test risks little while gathering evidence.

- ✗ A. Order 10,000 units at a low bulk price: large spending before evidence
- ✗ C. Sign a contract with a national store chain first: too large before testing
- ✗ D. Hire a sales team before any sales: spending before evidence

Arithmetic checked by code: not applicable. Sources: case_spanx

S9-F1-Q5 · question page 184

ENT.CASE.02 · Apply it: from a personal problem to a tested idea

Which description separates the documented fact from the lesson?

Answer: A. Fact: she started with $5,000 of savings. Lesson: check others share your problem.

The fact is from the record; the lesson is an interpretation.

- ✗ B. Fact: she copied a competitor. Lesson: copying always works.: not documented
- ✗ C. Fact: she had no rejections. Lesson: never ask for feedback.: the fact is wrong
- ✗ D. Fact: everyone loves her product today. Lesson: using savings guarantees success.: neither is documented or sound

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q1 · question page 185

ENT.CASE.02 · Handle the complications: why copying may fail

Ben copies the "use my own savings" idea, but his savings are also his emergency fund for rent. What should he check first?

Answer: D. How much he can spend without risking his living costs

He must protect his own living costs before investing savings.

- ✗ A. Whether savings are always better than loans for founders: not always; it depends
- ✗ B. Whether his logo is ready: not the main question
- ✗ C. Whether the founder used $5,000: her amount is not his limit

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q2 · question page 186

ENT.CASE.02 · Handle the complications: why copying may fail

A product solved the founder's problem, but the founder's situation is unusual (very tall, needing special clothing). What is the main risk in assuming a large market?

Answer: D. Few other people may share the unusual problem.

An unusual situation may mean a small market; it must be checked.

- ✗ A. Unusual problems always make the best businesses.: not always; the market may be small
- ✗ B. Tall people never buy clothing at all.: they do buy clothing
- ✗ C. There is no risk if the product works.: a working product can still lack buyers

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q3 · question page 187

ENT.CASE.02 · Handle the complications: why copying may fail

Several manufacturers reject Pia's product. Using the case wisely, what should she do?

Answer: B. Ask why they said no, improve or adjust, and keep looking if the evidence supports it

Rejections are information; persistence makes sense only with supporting evidence.

- ✗ A. Stop immediately, because one round of rejections ends any idea for good: one round of rejections is not decisive
- ✗ C. Ignore their reasons and send the same pitch again: reasons may reveal real problems
- ✗ D. Assume rejection means guaranteed success later: rejection does not predict success

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q4 · question page 188

ENT.CASE.02 · Handle the complications: why copying may fail

A big store accepted Spanx. A new founder wants to skip testing and go straight to big stores.

What is the main problem?

Answer: A. Without evidence of demand, big stores are unlikely to accept or reorder.

Stores want evidence that customers buy; testing builds that evidence.

- ✗ B. Big stores accept every new product.: they do not
- ✗ C. There is no problem at all, because the case proves that it works.: one case proves nothing for another
- ✗ D. Skipping tests always saves money in the end.: it can waste money

Arithmetic checked by code: not applicable. Sources: case_spanx

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S9-F2-Q5 · question page 189

ENT.CASE.02 · Handle the complications: why copying may fail

What is the most accurate takeaway from a single founder story?

Answer: C. It shows one path and decisions to consider, not a guaranteed formula.

A case teaches decisions to weigh, not a guaranteed outcome.

- ✗ A. It is useless because conditions differ.: it can still teach useful decisions
- ✗ B. It proves that the founder's exact steps caused her later success.: causes are not proven by one story
- ✗ D. It is a formula that works for every product.: no single story is a formula

Arithmetic checked by code: not applicable. Sources: case_spanx

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S10-M-Q1 · question page 191

ENT.TEST.01 · Plan interview questions about past behavior

Which interview question gives the most reliable information?

Answer: D. When did you last hire a tutor, and how did you find one?

Asking about a recent real event gives facts instead of guesses.

✗ A. Would you hire a tutor if I offered one next year?: it asks for a guess about the future

✗ B. Do you think tutoring is a good idea for most kids?: it asks for an opinion, not experience

✗ C. How much would you be willing to pay for my service?: it asks for a prediction about a product they have not seen

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q2 · question page 192

ENT.TEST.01 · Plan interview questions about past behavior

Why are questions about the future weaker evidence?

Answer: C. People often guess kindly or hopefully.

Predictions tend to be polite or optimistic, so they are less reliable.

✗ A. People cannot remember anything about the past.: past events are usually easier to describe

✗ B. Future answers are always negative and unhelpful.: they are often too positive, not negative

✗ D. Future questions are against interview rules.: there is no such rule; they are just weaker

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q3 · question page 193

ENT.TEST.01 · Plan interview questions about past behavior

Which question asks about past behavior?

Answer: B. What did you use last month to track your expenses?

It asks what the person already did.

✗ A. Do you like the idea of tracking every expense?: that asks for an opinion

✗ C. Will you track expenses better next year, do you think?: that is a future guess

✗ D. Would you download an expense app if it were free?: that is a future guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q4 · question page 194

ENT.TEST.01 · Plan interview questions about past behavior

An interviewer hears, "I spent 3 hours last week calling movers." What kind of information is this?

Answer: A. A real past cost of the problem

Hours already spent show the problem's real cost.

✗ B. An opinion about the interviewer's idea: they described an event, not an opinion

✗ C. Proof that a moving business will succeed: it is a clue, not proof

✗ D. A promise to buy from the interviewer soon: nothing was promised

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-M-Q5 · question page 195

ENT.TEST.01 · Plan interview questions about past behavior

What should an interviewer mostly do?

Answer: B. Listen and ask follow-up questions

Listening and following up uncovers details about real behavior.

✗ A. Talk about the product as much as possible: pitching crowds out learning

✗ C. Ask only yes-or-no questions to save time: open questions reveal more

✗ D. Argue when the person disagrees with the idea: arguing stops honest answers

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q1 · question page 196

ENT.TEST.01 · Did versus would

"How many times did you go to the gym last week?" asks about what?

Answer: A. Past behavior

It asks what the person actually did.

- ✗ B. A price: it does not mention money
- ✗ C. A future plan: it asks about last week
- ✗ D. An opinion: it asks for a count

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q2 · question page 197

ENT.TEST.01 · Did versus would

"Would you go to the gym three times a week?" mostly measures what?

Answer: D. Hope or intention

Future-tense questions measure intention, not behavior.

- ✗ A. The gym's price: not about price
- ✗ B. The person's age: not about age
- ✗ C. Exact past behavior: it is about the future

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q3 · question page 198

ENT.TEST.01 · Did versus would

Which word usually signals a past-behavior question?

Answer: C. "did"

"Did" asks what already happened.

- ✗ A. "would": signals a guess
- ✗ B. "could": signals a possibility

✗ D. "might": signals a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q4 · question page 199

ENT.TEST.01 · Did versus would

Which answer is behavior, not hope?

Answer: D. "I went twice last week."

A count of real visits is behavior.

✗ A. "I might start next month.": a guess
✗ B. "I plan to go every day.": a plan
✗ C. "I would love to go more.": a wish

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-B1-Q5 · question page 200

ENT.TEST.01 · Did versus would

Rewrite "Would you buy healthy snacks?" as a "did" question. Which is best?

Answer: B. "What snacks did you buy this week?"

It asks about real recent purchases.

✗ A. "Would you like healthy snacks?": still a "would" question
✗ C. "Do you agree snacks matter?": an opinion
✗ D. "Might you buy snacks soon?": still a guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q1 · question page 201

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder plans a meal-kit service. Which question set is best?

Answer: C. What did you eat for dinner last night, and how did you decide?

It asks about a real recent decision.

- ✗ A. Do you think meal kits are a smart idea for families?: an opinion
- ✗ B. How great would it be to never cook again, in your view?: a leading, hopeful question
- ✗ D. Would you buy meal kits every week if they were tasty?: a future guess

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q2 · question page 202

ENT.TEST.01 · Apply it: improve a set of interview questions

After the person says, "Finding a plumber was a nightmare last month," what is the best follow-up?

Answer: A. What made it hard, and what did you end up doing?

A follow-up about the real experience reveals details.

- ✗ B. Can I sign you up for my newsletter now?: ends the learning
- ✗ C. Do you agree plumbers are usually expensive?: leading and opinion-based
- ✗ D. Would you use my plumber app instead?: it pitches too early

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q3 · question page 203

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder interviewed 10 people. 9 said they "would definitely use" her app; 2 have ever paid for a similar tool. Which number is more meaningful?

Answer: B. The 2 who have paid for a similar tool

Past spending is stronger evidence than predictions.

- ✗ A. The 9 who said they would definitely use it: a polite prediction
- ✗ C. Both are equally meaningful for the decision: past spending is stronger
- ✗ D. Neither, because interviews never help at all: interviews help when they

ask the right things

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q4 · question page 204

ENT.TEST.01 · Apply it: improve a set of interview questions

Which interview goal is most useful early on?

Answer: C. Learn how people handle the problem today

Early interviews aim to understand the problem and current solutions.

- ✗ A. Show off every feature you have planned: pitching crowds out learning
- ✗ B. Get each person to praise the idea: praise is not useful evidence
- ✗ D. Convince each person to buy before they leave: selling is not the goal of an early interview

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F1-Q5 · question page 205

ENT.TEST.01 · Apply it: improve a set of interview questions

A founder asks 12 people about their last moving day. 8 say they hired help. What fraction hired help?

Answer: A. 2/3

8/12 simplifies to 2/3.

- ✗ B. 3/4: that would be 9 out of 12
- ✗ C. 8/20: the total asked was 12, not 20
- ✗ D. 1/2: that would be 6 out of 12

Arithmetic checked by code: yes. Sources: none (stable)

S10-F2-Q1 · question page 206

ENT.TEST.01 · Handle the complications: interviews that mislead

A founder interviewed only her close friends, who all loved the idea. What is the main problem?

Answer: D. Friends may be kind and may not be typical customers.

Friends are likely to be polite and may not match the target customer.

- ✗ A. Friends always lie about everything.: too extreme
- ✗ B. Interviews should never include friends at all.: the issue is relying only on them
- ✗ C. Ten friends is always enough evidence.: friends are a biased group

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q2 · question page 207

ENT.TEST.01 · Handle the complications: interviews that mislead

People describe a problem in detail but have never tried to fix it. What should the founder check next?

Answer: C. Whether the problem matters enough that they would pay to fix it

A problem nobody acts on may not matter enough to pay for.

- ✗ A. Whether to build the full product now: too early
- ✗ B. Whether they liked the interviewer: not the key question
- ✗ D. Whether their answers were long enough to fill the notes page: length is not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q3 · question page 208

ENT.TEST.01 · Handle the complications: interviews that mislead

A founder keeps explaining her app during interviews, and people keep saying "sounds great." What is the most likely issue?

Answer: D. Pitching is pushing people toward polite agreement.

Pitching during interviews invites politeness instead of honest facts.

- ✗ A. People truly love the app.: polite agreement is not proof
- ✗ B. Interviews do not work for apps.: they work if done well

✗ C. The founder should talk even more about the app's features.: that makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q4 · question page 209

ENT.TEST.01 · Handle the complications: interviews that mislead

Which piece of information should an interview try to uncover about the current solution?

Answer: B. What it costs them in time or money now

The cost of the current solution shows how much the problem matters.

- ✗ A. Whether they would recommend you to a friend someday: a prediction
- ✗ C. Their opinion of the founder's logo: not useful early
- ✗ D. Their favorite color for the product: design detail

Arithmetic checked by code: not applicable. Sources: none (stable)

S10-F2-Q5 · question page 210

ENT.TEST.01 · Handle the complications: interviews that mislead

An interviewer records answers from 15 people. 6 already pay for a similar service at 20 dollars a month. What is the total those 6 already spend each month?

Answer: D. 120 dollars

6 x 20 = 120 dollars a month already spent.

- ✗ A. 26 dollars: that adds instead of multiplying
- ✗ B. 20 dollars: that is one person
- ✗ C. 300 dollars: that uses all 15 people

Arithmetic checked by code: yes. Sources: none (stable)

S11-M-Q1 · question page 212

ENT.TEST.02 · Recognize and rewrite leading questions

Which question is leading?

Answer: B. Don't you think our cookies taste better than store-bought ones?

It pushes the person toward agreeing.

- ✗ A. How often do you eat homemade baked goods each month?: neutral and specific
- ✗ C. Where do you usually buy desserts for family events?: neutral question
- ✗ D. What kind of cookies did you buy last time you shopped?: neutral question about behavior

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q2 · question page 213

ENT.TEST.02 · Recognize and rewrite leading questions

Which is a neutral version of "Wouldn't a faster laundry service be great?"

Answer: C. How do you handle laundry now?

It asks about current behavior with no push.

- ✗ A. You would use a faster service, right?: pushes toward yes
- ✗ B. Isn't slow laundry the worst thing in the world?: still leading
- ✗ D. Wouldn't you love never doing laundry again?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q3 · question page 214

ENT.TEST.02 · Recognize and rewrite leading questions

Why do leading questions cause problems in testing?

Answer: D. They make the idea look better than it really is.

Pushed answers give a false picture of demand.

- ✗ A. They make people refuse to answer anything.: people usually answer, but the answers are biased
- ✗ B. They are always against the law to use.: not illegal, just misleading

✗ C. They take too long to ask in an interview.: length is not the issue

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q4 · question page 215

ENT.TEST.02 · Recognize and rewrite leading questions

Which word pattern often signals a leading question?

Answer: C. Starting with "Don't you..." or "Wouldn't it..."

"Don't you" and "Wouldn't it" invite agreement.

✗ A. Starting with "What" or "How": these usually open neutral questions
✗ B. Asking about last week: that asks about behavior
✗ D. Asking how often something happens in a normal month: that is neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-M-Q5 · question page 216

ENT.TEST.02 · Recognize and rewrite leading questions

Which question is neutral?

Answer: D. What, if anything, frustrates you about booking a haircut?

"If anything" allows the person to say nothing bothers them.

✗ A. Wouldn't online booking solve all your problems?: pushes toward a solution
✗ B. You hate waiting for haircuts too, right?: pushes toward yes
✗ C. Isn't booking a haircut really frustrating these days?: assumes frustration

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q1 · question page 217

ENT.TEST.02 · A push versus an open door

"The food was amazing, wasn't it?" is what kind of question?

Answer: A. A push (leading)

It suggests the hoped-for answer.

- ✗ B. A math question: not about numbers
- ✗ C. An open door (neutral): it suggests the answer
- ✗ D. A yes-or-no fact check: it pushes an opinion

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q2 · question page 218

ENT.TEST.02 · A push versus an open door

Which is an open-door question?

Answer: B. "How was the food?"

It lets the person answer freely.

- ✗ A. "Don't you love this place?": pushes
- ✗ C. "It was great, right?": pushes
- ✗ D. "Best meal ever, wasn't it?": pushes

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q3 · question page 219

ENT.TEST.02 · A push versus an open door

Which ending word often turns a question into a push?

Answer: C. "right?"

"Right?" invites agreement.

- ✗ A. "when?": neutral
- ✗ B. "what?": neutral
- ✗ D. "how?": neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q4 · question page 220

ENT.TEST.02 · A push versus an open door

Why do open-door questions help?

Answer: D. People can give their own honest answer.

Open questions do not steer the answer.

- ✗ A. They make people buy faster.: not their purpose
- ✗ B. They are shorter to write.: not the reason
- ✗ C. They always get a yes answer from almost everyone.: they allow any answer

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-B1-Q5 · question page 221

ENT.TEST.02 · A push versus an open door

Which question includes the hoped-for answer?

Answer: D. "Isn't this the easiest app you've used?"

It builds the answer into the question.

- ✗ A. "What app did you use most last week?": neutral
- ✗ B. "When did you last delete an app?": neutral
- ✗ C. "How do you find new apps?": neutral

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q1 · question page 222

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A survey for a dog-walking idea asks, "How much do you love the idea of a reliable dog walker?" Which rewrite is best?

Answer: A. Who walks your dog on days you work late?

It asks about current behavior neutrally.

- ✗ B. Wouldn't a reliable walker make your life better?: still leading
- ✗ C. How much do you REALLY love reliable dog walkers?: still leading
- ✗ D. You agree dogs need walks, don't you?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q2 · question page 223

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

Which survey answer choices are balanced?

Answer: C. Very easy / Easy / Neither / Hard / Very hard

Balanced options include positive, neutral and negative answers.

- ✗ A. Amazing / Great / Good / Pretty good / Okay: all positive choices push results up
- ✗ B. Good / Very good / Excellent: no negative option
- ✗ D. Love it / Like it a lot: no neutral or negative option

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q3 · question page 224

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A founder asks, "Our price of 10 dollars is fair, isn't it?" What is a better question?

Answer: D. What have you paid for similar services before?

Asking about past spending gives real price evidence.

- ✗ A. Isn't 10 dollars a great deal?: still leading
- ✗ B. You'd pay 10 dollars happily for this, wouldn't you, right?: still leading
- ✗ C. Don't you agree 10 dollars is cheap?: still leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q4 · question page 225

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

A survey has 5 positive answer options and 1 negative option. What is the likely effect?

Answer: B. Results will look more positive than people really feel.

Unbalanced options pull answers toward the side with more choices.

- ✗ A. Results will look more negative than real feelings.: the imbalance pushes positive
- ✗ C. People will refuse to finish the survey.: not the main effect
- ✗ D. Results will be perfectly accurate.: the options are unbalanced

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F1-Q5 · question page 226

ENT.TEST.02 · Apply it: rewrite a survey to be neutral

Of 40 people asked a leading question, 36 said yes. Of 40 asked a neutral version, 14 said yes. How many more said yes to the leading version?

Answer: A. 22

36 - 14 = 22 more yes answers.

- ✗ B. 50: that adds the totals
- ✗ C. 36: that is the leading total, not the difference
- ✗ D. 14: that is the neutral total

Arithmetic checked by code: yes. Sources: none (stable)

S11-F2-Q1 · question page 227

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A question names your product: "How useful is QuickClean for busy families?" What is the subtle problem?

Answer: C. It assumes the product is useful and focuses on your idea.

Naming your product and assuming usefulness leads the answer.

- ✗ A. There is no problem with this question.: it assumes usefulness
- ✗ B. It mentions families, which is never allowed in a survey question.: mentioning a group is fine
- ✗ D. It is too short to be clear.: length is fine

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q2 · question page 228

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

Two surveys: A used leading questions and got 90 percent interest. B used neutral questions and got 30 percent. Which result should guide decisions?

Answer: B. Survey B, because neutral questions are more trustworthy

The neutral survey gives the less biased estimate.

- ✗ A. Neither, because surveys are always useless: neutral surveys can be useful
- ✗ C. Survey A, because higher interest is better news: it is inflated by leading wording
- ✗ D. The average of both, about 60 percent: averaging a biased result is still biased

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q3 · question page 229

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A founder must survey customers quickly. Which approach best avoids leading?

Answer: A. Ask about recent behavior with balanced options

Recent behavior and balanced options reduce bias even in a quick survey.

- ✗ B. Skip neutral options to save space: that unbalances answers
- ✗ C. Ask only questions that will make the idea look good: that is leading by

design

✗ D. Tell people the answer you hope for first: that leads them

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q4 · question page 230

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

Which question is neutral but still useful for pricing?

Answer: D. What did you pay the last time you hired this kind of help?

Past spending gives real price information without pushing.

✗ A. Wouldn't 50 dollars be a fair price?: leading

✗ B. Isn't our price lower than others?: leading

✗ C. You'd happily pay more for real quality, wouldn't you, right?: leading

Arithmetic checked by code: not applicable. Sources: none (stable)

S11-F2-Q5 · question page 231

ENT.TEST.02 · Handle the complications: subtle leading and what to trust

A founder realizes half her survey questions were leading. What should she do with the results?

Answer: C. Treat those answers with caution and re-ask neutrally if possible

Biased answers need caution; neutral re-asking gives better evidence.

✗ A. Use all answers as if nothing were wrong: the bias remains

✗ B. Report the leading results as proof of demand: that misleads

✗ D. Delete all of the results, including the answers to the neutral ones: the neutral answers may still help

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q1 · question page 233

ENT.TEST.03 · Identify competitors and other alternatives

A new tutoring service. Which is an ALTERNATIVE but not a direct competitor?

Answer: B. Parents helping with homework themselves

Parents helping is another way to solve the problem, not a competing business.

- ✗ A. A tutoring company with the same subjects: that is a direct competitor
- ✗ C. Another tutoring service in the same town: that is a direct competitor
- ✗ D. A tutor who teaches the same grade level: that is a direct competitor

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q2 · question page 234

ENT.TEST.03 · Identify competitors and other alternatives

A founder says, "I have no competition." What is the most likely truth?

Answer: D. Customers solve the problem some other way, or few want it.

Usually people use alternatives, or the need is small.

- ✗ A. Competitors are not allowed in this market.: markets are open
- ✗ B. The idea is guaranteed to succeed without much effort or marketing.: no competition guarantees nothing
- ✗ C. Alternatives do not matter to customers at all.: customers compare options

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q3 · question page 235

ENT.TEST.03 · Identify competitors and other alternatives

What can competitor reviews teach a new business?

Answer: A. What customers like and complain about

Reviews show what customers value and dislike.

- ✗ B. That customers never switch businesses: reviews often show switching reasons

✗ C. Which competitors will close next month: reviews cannot predict that

✗ D. Exactly how much profit competitors make: reviews rarely show profit

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q4 · question page 236

ENT.TEST.03 · Identify competitors and other alternatives

Which is a direct competitor to a mobile car-wash service?

Answer: A. Another business that washes cars at customers' homes

It sells the same service to the same customers.

✗ B. A car rental agency at the airport: a different service

✗ C. A company that changes engine oil: a different service

✗ D. A shop near the highway that sells car air fresheners: a different product

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-M-Q5 · question page 237

ENT.TEST.03 · Identify competitors and other alternatives

"Doing nothing" counts as an alternative because...

Answer: B. customers can choose to live with the problem.

If the problem is mild, many customers simply live with it.

✗ A. it is a business that charges money.: doing nothing is free

✗ C. customers are not allowed to do nothing.: they are allowed

✗ D. it only applies to very large companies.: it applies to all

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q1 · question page 238

ENT.TEST.03 · Every other way to solve the problem

Bringing lunch from home is what, for a sandwich shop?

Answer: C. An alternative

Packing lunch is another way to solve hunger.

- ✗ A. A direct competitor: not a business
- ✗ B. A customer: it is a choice, not a buyer
- ✗ D. A supplier: it sells nothing to the shop

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q2 · question page 239

ENT.TEST.03 · Every other way to solve the problem

Another sandwich shop next door is what?

Answer: A. A direct competitor

It sells the same thing to the same people.

- ✗ B. A partner: not stated
- ✗ C. A supplier: it does not supply the shop
- ✗ D. An alternative only: it is a competing business

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q3 · question page 240

ENT.TEST.03 · Every other way to solve the problem

Skipping lunch is which option?

Answer: D. Doing nothing

Choosing not to solve the problem is "doing nothing".

- ✗ A. A price: no
- ✗ B. A direct competitor: not a business
- ✗ C. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q4 · question page 241

ENT.TEST.03 · Every other way to solve the problem

Why list all the alternatives?

Answer: A. To see what your offer must beat

Alternatives show what customers already use.

- ✗ B. To raise your prices: not the purpose
- ✗ C. To copy every one of them: not the goal
- ✗ D. To avoid talking to customers: you still need customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-B1-Q5 · question page 242

ENT.TEST.03 · Every other way to solve the problem

A vending machine is what, for a sandwich shop?

Answer: B. An alternative

It is another way to solve lunchtime hunger.

- ✗ A. A direct competitor selling sandwiches: it sells snacks, not sandwiches
- ✗ C. A customer: it does not buy
- ✗ D. A supplier: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q1 · question page 243

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Reviews of three local cleaners mostly complain about missed appointments. What is the best use of this?

Answer: C. Make reliable, on-time scheduling a clear part of your offer

Fixing a common complaint gives a real reason to choose you.

✗ A. Assume customers do not care about timing: the reviews say they do

✗ B. Copy their prices exactly and say nothing else about the service: ignores the main complaint

✗ D. Post negative reviews about them online: unfair and possibly illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q2 · question page 244

ENT.TEST.03 · Apply it: use competitor research to shape an offer

A founder lists competitor prices: 40, 45 and 50 dollars per session. What is their average price?

Answer: D. 45 dollars

(40 + 45 + 50) / 3 = 45 dollars.

✗ A. 40 dollars: that is the lowest

✗ B. 135 dollars: that is the total

✗ C. 50 dollars: that is the highest

Arithmetic checked by code: yes. Sources: none (stable)

S12-F1-Q3 · question page 245

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Many homeowners mow their own lawns. A new lawn service wants customers who would rather pay. Which group is most promising?

Answer: A. Older homeowners or busy owners who find mowing hard to fit in

People for whom the do-it-yourself alternative is hard are the most likely buyers.

✗ B. People who enjoy mowing as relaxing exercise: they prefer doing it themselves

✗ C. Apartment renters with no lawns at all: they have no lawns

✗ D. Owners who already bought brand-new riding mowers this year: they just invested in doing it themselves

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q4 · question page 246

ENT.TEST.03 · Apply it: use competitor research to shape an offer

A free online tool already solves the problem. How can a paid product still compete?

Answer: D. Offer a clear benefit the free tool lacks, such as saved time or support

A paid option needs a real advantage over the free alternative.

- ✗ A. Charge a higher price without offering anything extra to customers: gives no reason to pay
- ✗ B. Ask customers to stop using free tools: unlikely to work
- ✗ C. Pretend the free tool does not exist: customers know it exists

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F1-Q5 · question page 247

ENT.TEST.03 · Apply it: use competitor research to shape an offer

Which competitor information is fair and useful to collect?

Answer: B. Public prices, services and customer reviews

Public information is fair; private or deceptive gathering is not.

- ✗ A. Fake customer calls pretending to be from a government office: deceptive
- ✗ C. Their private customer list taken by a former employee: unfair and possibly illegal
- ✗ D. Their passwords guessed from public posts: illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q1 · question page 248

ENT.TEST.03 · Handle the complications: reading competition correctly

A town has no dog groomers. Before celebrating, what should a founder check first?

Answer: B. Whether people drive to groomers elsewhere or groom at home

No local competitor may mean customers use alternatives elsewhere, or there is little demand.

- ✗ A. Whether the founder enjoys bathing dogs: not the key question
- ✗ C. Whether the town likes dogs in general: liking dogs is not the same as paying
- ✗ D. Whether a dog groomer logo would be easy and cheap to design: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q2 · question page 249

ENT.TEST.03 · Handle the complications: reading competition correctly

Ten competitors sell the same product and many seem busy. What does this most likely show?

Answer: C. There is demand, but you will need a reason to be chosen.

Competition shows demand; standing out is the challenge.

- ✗ A. You should copy the busiest competitor exactly, down to the menu.: copying gives no reason to choose you
- ✗ B. You are guaranteed to win if you join.: nothing guarantees that
- ✗ D. There is no demand at all.: busy competitors show demand

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q3 · question page 250

ENT.TEST.03 · Handle the complications: reading competition correctly

A founder plans to beat competitors only by being cheaper. What should be checked first?

Answer: A. Whether the lower price still covers costs and time

A lower price must still cover costs, or the business loses money.

✗ B. Whether competitors will thank him: irrelevant

✗ C. Whether cheap prices always win every customer: they do not

✗ D. Whether the cheaper price looks nice on a sign: appearance is secondary

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q4 · question page 251

ENT.TEST.03 · Handle the complications: reading competition correctly

Which statement correctly describes competitor research?

Answer: D. It shows what customers accept today, not a full prediction.

Competitor research is evidence about the market, not a forecast.

✗ A. It is only needed after launching.: it helps before launching too

✗ B. It replaces talking to customers yourself.: it does not

✗ C. It proves exactly how many customers you will get.: it cannot predict exact numbers

Arithmetic checked by code: not applicable. Sources: none (stable)

S12-F2-Q5 · question page 252

ENT.TEST.03 · Handle the complications: reading competition correctly

Competitors charge 60 dollars. You plan 48 dollars, 20 percent less. Your cost per job is 50 dollars. What happens on each job?

Answer: B. You lose 2 dollars per job.

48 - 50 = -2: the lower price is below your cost.

✗ A. You earn 12 dollars per job.: that ignores your cost

✗ C. You earn 10 dollars per job.: that compares 60 and 50

✗ D. You break exactly even.: 48 is below 50

Arithmetic checked by code: yes. Sources: none (stable)

S13-M-Q1 · question page 254

ENT.TEST.04 · Choose a small, cheap test that answers one question

Which is the best small test for a homemade granola idea?

Answer: C. Sell 30 bags at a weekend farmers market

A small market test is cheap and shows whether people buy.

- ✗ A. Design packaging for 20 flavors right away: spends before learning
- ✗ B. Wait a year to perfect the recipe in private: no customer evidence
- ✗ D. Rent a factory to make 50,000 bags first: large cost before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q2 · question page 255

ENT.TEST.04 · Choose a small, cheap test that answers one question

What makes a test "good"?

Answer: A. A clear question, small cost, time limit and success target

Clear questions and pre-set targets keep a test honest and useful.

- ✗ B. Deciding what success means only after seeing all of the results: decide in advance to stay honest
- ✗ C. No time limit so it can run forever: tests need an end
- ✗ D. A big budget so the results look impressive: big budgets defeat the purpose

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q3 · question page 256

ENT.TEST.04 · Choose a small, cheap test that answers one question

A founder wants to know if people will pay for pet sitting. Which test answers that question?

Answer: D. Offer paid visits to a few neighbors this month

Real paid visits answer the question directly.

- ✗ A. Post a photo of a cute dog online: likes are not bookings
- ✗ B. Ask friends if they like pets: liking pets is not paying
- ✗ C. Read several articles about the size of the pet industry: no customer evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q4 · question page 257

ENT.TEST.04 · Choose a small, cheap test that answers one question

Why decide the success target BEFORE the test?

Answer: A. So you judge results honestly, not by hope

A target set in advance prevents explaining away weak results.

- ✗ B. Because it makes the test cheaper to run: it does not change cost
- ✗ C. Because customers ask to see your target: customers do not need it
- ✗ D. Because targets can never be changed later: they can be revised for the next test

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-M-Q5 · question page 258

ENT.TEST.04 · Choose a small, cheap test that answers one question

A test cost 60 dollars and brought 4 paying customers. What was the cost per customer found?

Answer: B. 15 dollars

60 / 4 = 15 dollars per customer found.

- ✗ A. 64 dollars: that adds the numbers
- ✗ C. 240 dollars: that multiplies instead of dividing
- ✗ D. 4 dollars: that is the number of customers

Arithmetic checked by code: yes. Sources: none (stable)

S13-B1-Q1 · question page 259

ENT.TEST.04 · Smallest step that teaches something

Why is a lemonade stand a good test before a juice company?

Answer: C. It costs little and shows whether people pay.

A cheap step that reveals real buying behavior.

- ✗ A. It is the only way to sell drinks.: there are many ways
- ✗ B. It guarantees the juice company will succeed.: tests do not guarantee
- ✗ D. It needs no customers.: it needs customers

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q2 · question page 260

ENT.TEST.04 · Smallest step that teaches something

If the stand sells nothing, what did the owner lose?

Answer: A. A few dollars, not their savings

A small test keeps losses small.

- ✗ B. Everything they own: the test was small
- ✗ C. All future customers forever: not true
- ✗ D. Their right to start a business: no such loss

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q3 · question page 261

ENT.TEST.04 · Smallest step that teaches something

Which is a "smallest step" test for a tutoring idea?

Answer: D. Tutor two paying students for a month

Two paying students is a small, informative test.

✗ A. Open a tutoring center with ten staff: large step

✗ B. Buy a building for classes: large step

✗ C. Write a 300-page textbook: large step

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q4 · question page 262

ENT.TEST.04 · Smallest step that teaches something

What does a successful small test give you?

Answer: A. Evidence to plan the next step

Evidence guides the next decision.

✗ B. A guarantee of profit: no guarantees

✗ C. Permission from the government: unrelated

✗ D. A finished company: it is only a test

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-B1-Q5 · question page 263

ENT.TEST.04 · Smallest step that teaches something

Which question could a one-day market stall answer?

Answer: C. Will shoppers pay 6 dollars for my soap?

A stall can test a specific price with real shoppers.

✗ A. Will my brand be famous worldwide?: too broad

✗ B. Will every store carry my soap?: too broad

✗ D. Will I be rich in ten years?: too far ahead

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q1 · question page 264

ENT.TEST.04 · Apply it: design a test for a stated question

Question: "Will office workers pre-order healthy lunches for delivery?" Which test fits best?

Answer: B. Take pre-orders for one week from two nearby offices

Pre-orders from real offices directly answer the question.

- ✗ A. Open a full restaurant downtown: too large
- ✗ C. Ask workers if they like salads: liking is not ordering
- ✗ D. Buy a delivery van and hire a driver before any orders arrive: spends before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q2 · question page 265

ENT.TEST.04 · Apply it: design a test for a stated question

A founder sets this target before a test: "At least 10 sign-ups from 100 visitors." The test gets 6 from 100. What should she conclude?

Answer: A. The test did not meet the target; rethink or adjust before scaling.

A missed target is honest information to act on.

- ✗ B. She should change the target to 5 now.: moving the target afterward is dishonest
- ✗ C. Tests never tell you anything useful.: this one gave useful information
- ✗ D. The test succeeded, because 6 sign-ups is fairly close to 10 sign-ups.: it missed the pre-set target

Arithmetic checked by code: yes. Sources: none (stable)

S13-F1-Q3 · question page 266

ENT.TEST.04 · Apply it: design a test for a stated question

Which test has the lowest cost for checking interest in a new online course?

Answer: C. A one-page description with a pre-sale or waitlist

A simple page tests interest before building the whole course.

✗ A. Hiring a team of video editors to film every lesson: high cost

✗ B. Buying a professional studio: high cost

✗ D. Filming all 40 lessons first: high cost before evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q4 · question page 267

ENT.TEST.04 · Apply it: design a test for a stated question

A test should have a time limit. Which is reasonable for testing a weekend car-detailing offer?

Answer: A. Four weekends

A few weekends give enough results to judge.

✗ B. No limit at all: tests need an end

✗ C. Ten years: far too long

✗ D. One minute: too short to learn anything

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F1-Q5 · question page 268

ENT.TEST.04 · Apply it: design a test for a stated question

A soap maker spent 90 dollars to make 30 bars and sold 20 at 6 dollars. How much money came in from sales?

Answer: D. 120 dollars

20 x 6 = 120 dollars of sales.

✗ A. 180 dollars: that counts all 30 bars

✗ B. 26 dollars: that adds instead of multiplying

✗ C. 90 dollars: that is the cost

Arithmetic checked by code: yes. Sources: none (stable)

S13-F2-Q1 · question page 269

ENT.TEST.04 · Handle the complications: tests that can mislead

A test ran only during a holiday rush and sold out. What should the founder check before scaling up?

Answer: B. Whether sales hold up in a normal week

A holiday spike may not reflect normal demand.

- ✗ A. Whether holiday customers liked the colors: not the key question
- ✗ C. Whether to triple production at once: too early
- ✗ D. Whether to stop testing completely: more testing is needed

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q2 · question page 270

ENT.TEST.04 · Handle the complications: tests that can mislead

A founder gave away free samples and everyone took one. What did this test fail to show?

Answer: A. Whether people would pay

Free uptake does not show willingness to pay.

- ✗ B. Whether the founder can make samples: it does show that
- ✗ C. Whether people like free things: that is obvious
- ✗ D. Whether the samples were tasty: it may show that

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q3 · question page 271

ENT.TEST.04 · Handle the complications: tests that can mislead

Two tests: A asked 200 strangers, B asked 5 close friends. Both had a 50 percent yes rate. Which result is more trustworthy?

Answer: D. Test A, because the group is larger and less biased

A larger, less personal group gives more reliable results.

- ✗ A. Test B, because friends are honest: friends tend to be kind
- ✗ B. Neither, because tests never work: tests can work

✗ C. Both equally, because the yes rate is the same in each group: size and bias differ

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q4 · question page 272

ENT.TEST.04 · Handle the complications: tests that can mislead

A test met its target, but each customer cost far more to find than they paid. What does this suggest?

Answer: C. Demand may exist, but the way of finding customers needs to change.

Meeting a target is not enough if each sale loses money.

✗ A. Everything is fine; scale it now.: each customer loses money

✗ B. The price should be lowered further so that more customers sign up.: that makes the loss worse

✗ D. Customers do not exist at all.: they do exist

Arithmetic checked by code: not applicable. Sources: none (stable)

S13-F2-Q5 · question page 273

ENT.TEST.04 · Handle the complications: tests that can mislead

A test spent 200 dollars on ads and gained 5 customers who each pay 30 dollars once. What is the result?

Answer: A. It spent 50 dollars more than it brought in.

5 x 30 = 150 dollars in; 150 - 200 = -50.

✗ B. It made 200 dollars.: that is the spending

✗ C. It broke exactly even.: 150 is less than 200

✗ D. It made 150 dollars of profit from the ads.: 5 x 30 is 150 in, minus 200

Arithmetic checked by code: yes. Sources: none (stable)

S14-M-Q1 · question page 275

ENT.TEST.05 · Rank evidence of demand

Which is the strongest evidence of demand?

Answer: B. Ten customers paid a deposit to reserve a spot.

Paying a deposit means giving up money, the strongest signal.

- ✗ A. Fifty people liked a photo of the product online.: likes cost nothing
- ✗ C. A hundred people visited the website once.: a visit is low effort
- ✗ D. Twenty people said "I would buy that" at a party.: a promise costs nothing

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q2 · question page 276

ENT.TEST.05 · Rank evidence of demand

Rank from strongest to weakest: (1) email sign-up, (2) purchase, (3) compliment.

Answer: C. Purchase, sign-up, compliment

Money beats an email address, which beats words.

- ✗ A. Sign-up, purchase, compliment: a purchase is stronger than a sign-up
- ✗ B. Sign-up, compliment, purchase: a purchase is strongest
- ✗ D. Compliment, sign-up, purchase: reversed

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q3 · question page 277

ENT.TEST.05 · Rank evidence of demand

Why is a pre-order strong evidence?

Answer: B. The customer commits money before getting the product.

Committing money in advance shows real intent.

- ✗ A. It is free for the customer to place.: a paid pre-order costs money

✗ C. It guarantees the business will earn a profit later on.: nothing guarantees profit

✗ D. It proves the product will be perfect.: it proves interest, not quality

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q4 · question page 278

ENT.TEST.05 · Rank evidence of demand

A booking that requires choosing a time and giving contact details is stronger than a "like" because...

Answer: D. it takes real effort and commitment.

More effort from the customer means more meaningful evidence.

✗ A. it is easier than clicking a like.: it is harder

✗ B. it shows the person is a friend.: not necessarily

✗ C. it costs the business nothing.: that is not why

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-M-Q5 · question page 279

ENT.TEST.05 · Rank evidence of demand

Out of 80 visitors to a pre-order page, 4 paid a deposit. What percent paid?

Answer: C. 5 percent

4 / 80 = 0.05, or 5 percent.

✗ A. 4 percent: that is the count, not the percent

✗ B. 20 percent: that divides 80 by 4

✗ D. 50 percent: far too high

Arithmetic checked by code: yes. Sources: none (stable)

S14-B1-Q1 · question page 280

ENT.TEST.05 · What did it cost them?

What does a "like" cost the person?

Answer: B. About a second of effort

Likes cost almost nothing.

- ✗ A. An hour of their time: far less
- ✗ C. Real money: likes are free
- ✗ D. A signed contract: no contract

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q2 · question page 281

ENT.TEST.05 · What did it cost them?

Which signal costs the person the most?

Answer: D. Paying for the product

Paying costs real money.

- ✗ A. Saying "great idea": costs nothing
- ✗ B. Typing an email address: a little effort
- ✗ C. Clicking like: almost nothing

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q3 · question page 282

ENT.TEST.05 · What did it cost them?

Why trust costly signals more?

Answer: D. People rarely give up money or effort for things they do not want.

Giving up something valuable shows real interest.

- ✗ A. Costly signals are easier to collect.: they are harder to collect
- ✗ B. Free signals are always lies.: they are not lies, just weak
- ✗ C. Costly signals come only from friends and family members who want to help.: they come from anyone

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q4 · question page 283

ENT.TEST.05 · What did it cost them?

Booking a time slot costs the person what?

Answer: C. Planning and commitment

Booking requires planning.

- ✗ A. A full payment always: not always
- ✗ B. Their email password: no
- ✗ D. Nothing at all: it takes effort

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-B1-Q5 · question page 284

ENT.TEST.05 · What did it cost them?

"Great idea!" from a stranger is what kind of signal?

Answer: A. Weak, because it costs nothing

Free words are weak evidence.

- ✗ B. Proof of a sale: no sale occurred
- ✗ C. Strong, because strangers are honest: it still costs nothing
- ✗ D. A legal agreement: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q1 · question page 285

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A founder of a meal-prep service can run one test. Which gathers the strongest evidence?

Answer: B. Take paid orders for next week's meals

Paid orders are the strongest available evidence.

✗ A. Post a poll asking if people like healthy food: cheap opinions

✗ C. Count likes on a meal photo: likes are weak

✗ D. Ask friends to say it sounds good: words are weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q2 · question page 286

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A crafts seller collected 200 email sign-ups but only 3 sales from them. What should she conclude?

Answer: B. Interest is mild; many sign-ups did not turn into buying.

Few sales from many sign-ups shows weaker demand than the sign-ups suggest.

✗ A. Sales do not really matter when email sign-ups are this high.: sales matter most

✗ C. Demand is huge because of 200 sign-ups.: sign-ups are weaker than sales

✗ D. She should stop selling completely now.: too extreme from one result

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q3 · question page 287

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

Which pre-launch offer gives the strongest signal for a new board game?

Answer: B. A paid pre-order with a ship date

Paying before launch is the strongest signal.

✗ A. A free newsletter about games: no commitment

✗ C. A contest to name the game: engagement, not demand

✗ D. A survey about favorite colors: opinions

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q4 · question page 288

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

Two tests: A got 500 likes and 0 sales. B got 40 likes and 12 sales. Which shows stronger demand?

Answer: C. Test B, because 12 people paid

Paying customers outweigh likes.

- ✗ A. Neither, because likes and sales are unrelated: sales are the key signal
- ✗ B. Test A, because it got more likes: likes are weak
- ✗ D. Both equally, because both got attention: only B got sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F1-Q5 · question page 289

ENT.TEST.05 · Apply it: choose a test that gathers strong evidence

A deposit is 25 dollars. Eight customers paid a deposit. How much was committed in total?

Answer: A. 200 dollars

8 x 25 = 200 dollars committed.

- ✗ B. 8 dollars: that is the number of customers
- ✗ C. 25 dollars: that is one deposit
- ✗ D. 33 dollars: that adds instead of multiplying

Arithmetic checked by code: yes. Sources: none (stable)

S14-F2-Q1 · question page 290

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A founder's relatives made most of the early purchases. What should she be careful about?

Answer: D. Relatives may buy to support her, not because they need it.

Purchases from supporters may not reflect strangers' demand.

✗ A. Relatives' purchases prove that strangers will also buy the same product.: they may not

✗ B. She should refuse to sell to relatives.: not required; just interpret carefully

✗ C. Relatives' money is not real money.: it is real, but the motive differs

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q2 · question page 291

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

Pre-orders came in, but the founder cannot deliver for 6 months and many customers asked for refunds. What does this show?

Answer: A. Interest existed, but delays can turn demand into refunds.

Evidence of interest must be matched by delivery the customer accepts.

✗ B. Pre-orders guarantee that customers will stay no matter how long they wait.: refunds show they did not

✗ C. Delays never affect customers.: they clearly did

✗ D. Refunds prove no one wanted it.: they wanted it, but not the delay

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q3 · question page 292

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A business got 30 sales, but all came with a 70 percent discount. What should be tested next?

Answer: B. Whether people buy at a price that covers costs

Heavy-discount sales may not show demand at a sustainable price.

✗ A. Whether a 90 percent discount sells even more: moves away from viability

✗ C. Whether the product color matters: not the key question

✗ D. Whether to stop selling for a year: no reason

Arithmetic checked by code: not applicable. Sources: none (stable)

S14-F2-Q4 · question page 293

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

A survey says 60 percent "would buy," but past tests show only about 1 in 10 people who say this actually buy. About what share of people will likely buy?

Answer: D. About 6 percent

60 percent x 1/10 = 6 percent.

- ✗ A. 60 percent: that ignores the follow-through rate
- ✗ B. About 50 percent: no basis
- ✗ C. About 10 percent: that is the follow-through rate alone

Arithmetic checked by code: yes. Sources: none (stable)

S14-F2-Q5 · question page 294

ENT.TEST.05 · Handle the complications: evidence that looks stronger than it is

Which missing information should a founder check before trusting a "200 pre-orders" claim from a partner?

Answer: C. Whether the pre-orders were paid or just free reservations

Paid and free pre-orders mean very different things.

- ✗ A. Whether the partner likes the founder: not relevant
- ✗ B. What color the order form was: not relevant
- ✗ D. How long the partner has used social media to promote other products: not relevant

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q1 · question page 296

ENT.TEST.06 · Explain why likes and praise are weak demand signals

A post about a new candle got 3,000 likes and 2 sales. What does this most likely show?

Answer: A. Many people noticed it, but few wanted to buy.

Attention is not the same as buying.

- ✗ B. The likes prove sales will rise soon.: likes do not predict sales reliably
- ✗ C. Demand is very strong because of the likes.: likes did not turn into sales
- ✗ D. Likes and sales always move together.: this example shows they do not

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q2 · question page 297

ENT.TEST.06 · Explain why likes and praise are weak demand signals

Why are compliments weak evidence of demand?

Answer: C. They cost nothing to give.

Free signals do not show willingness to pay.

- ✗ A. They are always insincere and untrue.: they can be sincere but still free
- ✗ B. Customers never give compliments.: many do
- ✗ D. Compliments are illegal to collect.: not illegal

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q3 · question page 298

ENT.TEST.06 · Explain why likes and praise are weak demand signals

Which action is the strongest sign of demand?

Answer: B. A message asking how to place an order

Asking how to buy shows intent to purchase.

- ✗ A. A new follower on a social account: free and quick
- ✗ C. A heart reaction on a product photo: free and quick
- ✗ D. A comment saying "so cute!": free praise

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q4 · question page 299

ENT.TEST.06 · Explain why likes and praise are weak demand signals

A creator has 10,000 followers but sells almost nothing. Which is a likely reason?

Answer: D. Followers enjoy the content but are not buyers.

Followers can be fans of content without needing to buy.

- ✗ A. Followers are the same as paying customers.: they are not
- ✗ B. Sales are impossible on social media.: many sell on social media
- ✗ C. 10,000 followers always buy something.: not true

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-M-Q5 · question page 300

ENT.TEST.06 · Explain why likes and praise are weak demand signals

What should likes be treated as?

Answer: A. A sign of attention

Likes show that something got noticed.

- ✗ B. A sign of guaranteed profit: no guarantee
- ✗ C. A legal contract: no
- ✗ D. A replacement for sales: they are not sales

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q1 · question page 301

ENT.TEST.06 · Attention versus buying

People stopping to look at a store window show what?

Answer: B. Attention

Looking is attention.

✗ A. Refunds: nothing was returned

✗ C. Profit: nothing was sold

✗ D. Purchases: they did not buy

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q2 · question page 302

ENT.TEST.06 · Attention versus buying

Online, a like is most like what?

Answer: C. Glancing at a store window

A like is a quick glance.

✗ A. Signing a lease: unrelated

✗ B. Paying for an item at the counter: a like costs nothing

✗ D. Returning an item: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q3 · question page 303

ENT.TEST.06 · Attention versus buying

Who matters most when measuring demand?

Answer: A. People who pay or make a real commitment

Paying or committing shows demand.

✗ B. People who scroll by and never notice the post: no action

✗ C. People who glance: attention only

✗ D. People who scroll past: no action

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q4 · question page 304

ENT.TEST.06 · Attention versus buying

Which shows buying behavior?

Answer: A. A customer pays for an order

Paying is buying.

- ✗ B. A person shares a meme: attention
- ✗ C. A person follows an account: attention
- ✗ D. A person likes a photo: attention

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-B1-Q5 · question page 305

ENT.TEST.06 · Attention versus buying

Many look, few buy. What does this pattern describe?

Answer: D. Normal shopping behavior

Most attention never becomes a purchase.

- ✗ A. A broken website: not necessarily
- ✗ B. A guaranteed failure: no
- ✗ C. A legal problem: no

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q1 · question page 306

ENT.TEST.06 · Apply it: read social signals sensibly

Two products: A got 900 likes and 5 orders. B got 120 likes and 30 orders. Which shows stronger demand?

Answer: C. Product B

Orders show demand; B had six times as many.

- ✗ A. Neither, since likes were low: B sold well
- ✗ B. Product A, because it got more likes: fewer orders
- ✗ D. Both equally, since both got likes: orders differ

Arithmetic checked by code: yes. Sources: none (stable)

S15-F1-Q2 · question page 307

ENT.TEST.06 · Apply it: read social signals sensibly

A baker wants a better demand signal than likes. Which step helps most?

Answer: B. Post a pre-order link for Saturday pickup

A pre-order link turns attention into a real commitment.

- ✗ A. Buy a follower package to look popular: fake followers mislead
- ✗ C. Post more photos of the same cake: more attention, not orders
- ✗ D. Ask followers to like the post more: still likes

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q3 · question page 308

ENT.TEST.06 · Apply it: read social signals sensibly

A video got 50,000 views. 25 viewers bought the product. What fraction of viewers bought?

Answer: A. 1 in 2,000

50,000 / 25 = 2,000, so 1 in 2,000 bought.

- ✗ B. 1 in 50: that would be 1,000 buyers
- ✗ C. 1 in 200 people: that would be 250 buyers
- ✗ D. 1 in 20: that would be 2,500 buyers

Arithmetic checked by code: yes. Sources: none (stable)

S15-F1-Q4 · question page 309

ENT.TEST.06 · Apply it: read social signals sensibly

Which comment is the most useful demand signal?

Answer: C. "Do you ship to Ohio? I want two."

Asking about shipping two items shows buying intent.

✗ A. "Following for more posts like this one": attention only

✗ B. "So pretty": praise only

✗ D. "Love this!!!": praise only

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F1-Q5 · question page 310

ENT.TEST.06 · Apply it: read social signals sensibly

A founder plans to judge a launch by likes. What better measure fits the goal of sales?

Answer: D. Orders and sales in the first two weeks

The goal is sales, so measure sales.

✗ A. Number of emoji reactions: attention only

✗ B. Number of likes in the first hour: attention only

✗ C. Number of shares by friends: attention only

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q1 · question page 311

ENT.TEST.06 · Handle the complications: when attention misleads

A post went viral because of a funny mistake in the video, not the product. Sales did not change. What is the best conclusion?

Answer: B. The attention was about the mistake, not demand for the product.

Viral attention can be about something other than the product.

✗ A. The product must be terrible because sales stayed flat.: too strong a conclusion

✗ C. Viral posts always prove product demand.: not here

✗ D. The founder should repeat the mistake on purpose.: not a reliable plan

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q2 · question page 312

ENT.TEST.06 · Handle the complications: when attention misleads

A seller bought 5,000 followers. Likes rose, sales did not. What is the main problem?

Answer: C. Bought followers are often not real buyers, so the numbers mislead.

Fake or bought followers inflate numbers without adding customers.

- ✗ A. Sales never follow followers.: real followers can buy
- ✗ B. Buying followers always increases sales a lot over time.: it did not here
- ✗ D. Followers are always real customers.: bought followers are not

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q3 · question page 313

ENT.TEST.06 · Handle the complications: when attention misleads

Many friends praise a product idea online. Before investing, what should the founder check?

Answer: A. Whether people outside her circle will pay

Paying strangers are better evidence than praising friends.

- ✗ B. Whether friends will keep praising it: praise is weak
- ✗ C. Whether the post can get more hearts: still attention
- ✗ D. Whether to buy more followers: misleading

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q4 · question page 314

ENT.TEST.06 · Handle the complications: when attention misleads

An account has high engagement (many comments) but low sales. Which next test best checks demand?

Answer: A. Offer a limited paid pre-order and count buyers

A paid offer tests whether engaged followers will buy.

- ✗ B. Post more often each day without any offer or link: no test of buying

✗ C. Ask for even more comments: still attention

✗ D. Delete the account: too extreme

Arithmetic checked by code: not applicable. Sources: none (stable)

S15-F2-Q5 · question page 315

ENT.TEST.06 · Handle the complications: when attention misleads

A post with 4,000 likes sold 8 items at 15 dollars each. What were total sales?

Answer: B. 120 dollars

8 x 15 = 120 dollars; the likes did not add sales.

✗ A. 4,015 dollars: that adds likes and price

✗ C. 15 dollars: one item

✗ D. 60,000 dollars: that multiplies likes by price

Arithmetic checked by code: yes. Sources: none (stable)

S16-M-Q1 · question page 317

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 20 paid bookings in a month. Result: 26 bookings. What is the sensible decision?

Answer: A. Continue

Results above the target support continuing.

✗ B. Stop: the target was exceeded

✗ C. Ignore the result: results should guide the decision

✗ D. Change the target to 40 and call it a failure: moving targets afterward is unfair

Arithmetic checked by code: yes. Sources: none (stable)

S16-M-Q2 · question page 318

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 20 bookings. Result: 3 bookings, and customers said the price was fine but the hours did not suit them. What fits best?

Answer: D. Change the hours and test again

Part works (price) and part does not (hours); a change is worth testing.

- ✗ A. Stop, since all ideas with 3 bookings fail: the feedback points to a fixable issue
- ✗ B. Continue exactly as before: results were far below target
- ✗ C. Raise the price immediately: price was not the problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q3 · question page 319

ENT.TEST.07 · Decide from results whether to continue, change or stop

Target: 30 sales. Result: 1 sale. No feedback suggests a better version, and costs keep rising. What fits best?

Answer: B. Stop and move to a better idea

Far below target with no promising signal supports stopping.

- ✗ A. Call it a success because one person bought: far below target
- ✗ C. Continue with more money: nothing suggests improvement
- ✗ D. Change only the logo: a logo will not fix demand this weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q4 · question page 320

ENT.TEST.07 · Decide from results whether to continue, change or stop

What does "pivot" mean here?

Answer: C. Changing an important part of the idea based on what you learned

A pivot keeps what works and changes what does not.

- ✗ A. Closing the business for good: that is stopping

✗ B. Repeating the same test again with nothing changed at all: that is continuing

✗ D. Hiring a large team at once: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-M-Q5 · question page 321

ENT.TEST.07 · Decide from results whether to continue, change or stop

Why is stopping sometimes the right decision?

Answer: D. It saves time and money for a better idea.

Stopping protects resources.

✗ A. It always earns money back.: it may not

✗ B. It proves the founder made no mistakes.: not the point

✗ C. It is required after any first test.: not required

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q1 · question page 322

ENT.TEST.07 · Three choices after a test

Most cookies sold. What is the choice?

Answer: B. Continue

Good results mean continue.

✗ A. Change: nothing needs changing

✗ C. Ignore it: results matter

✗ D. Stop: they sold well

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q2 · question page 323

ENT.TEST.07 · Three choices after a test

People loved the taste but said cookies were too big for the price. What is the choice?

Answer: C. Change the size

Part works; adjust the part that does not.

- ✗ A. Stop selling cookies: the taste works
- ✗ B. Continue unchanged: feedback points to a change
- ✗ D. Double the price: the problem was value for size

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q3 · question page 324

ENT.TEST.07 · Three choices after a test

Almost no one bought, and no one said why. What is the choice?

Answer: A. Try a different treat

Weak results with no clue suggest stopping.

- ✗ B. Keep going exactly the same: no reason to expect change
- ✗ C. Raise the price: unlikely to help
- ✗ D. Make twice as many cookies: demand is weak

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q4 · question page 325

ENT.TEST.07 · Three choices after a test

What should guide the choice?

Answer: B. The results and what people said

Evidence guides the decision.

- ✗ A. What your friends prefer: friends are not the market
- ✗ C. The color of the packaging: not the main factor
- ✗ D. How much you hoped it would work: hope is not evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-B1-Q5 · question page 326

ENT.TEST.07 · Three choices after a test

"Change" means what?

Answer: A. Keep what works and adjust what does not

Change is a targeted adjustment.

- ✗ B. Start everything from zero with a brand-new idea: that is stopping
- ✗ C. Close forever: that is stopping
- ✗ D. Do nothing new: that is continuing

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q1 · question page 327

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A tutoring test set a target of 8 students. It got 9 students, but each needs 2 hours of travel. The tutor's goal is to earn at least 25 dollars per hour of total time. Each session pays 40 dollars for 1 hour of teaching. What should the tutor conclude?

Answer: D. Demand is there, but travel time makes the pay too low; change the setup

40 dollars / 3 hours is about 13 dollars an hour, below 25; a change such as online sessions is needed.

- ✗ A. Raise the target to 20 students: more students would not fix the hourly pay
- ✗ B. Stop, because tutoring never works: demand exists
- ✗ C. Continue unchanged, because the target of 8 students was met and passed: the earnings goal is missed

Arithmetic checked by code: yes. Sources: none (stable)

S16-F1-Q2 · question page 328

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A juice stand sold 70 cups against a target of 50, but lost money because cups cost too much. Best next step?

Answer: C. Continue selling but change the cost or price

Strong demand plus a cost problem calls for a change, not stopping.

- ✗ A. Ignore the loss because sales were high: losses add up
- ✗ B. Stop immediately, since it lost money: demand was strong
- ✗ D. Lower the price to sell even more: that increases the loss

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q3 · question page 329

ENT.TEST.07 · Apply it: decide with stated targets and feedback

An app test: target 100 sign-ups, result 95, and users who signed up used it every day. What fits best?

Answer: C. Continue; it is close to target and usage is strong

A near-target result with strong usage supports continuing.

- ✗ A. Delete the app and start over: too extreme
- ✗ B. Change everything about the app, from the name to the features: it is mostly working
- ✗ D. Stop, because 95 is below 100: a near miss with strong usage

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q4 · question page 330

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A dog-walking test got many requests, but almost all were for cat sitting. What change is most sensible?

Answer: B. Test a cat-sitting offer

Customer requests point toward a better offer.

✗ A. Keep offering only dog walking: ignores the clear signal

✗ C. Stop all pet services: there is clear demand

✗ D. Raise dog-walking prices: not the signal

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F1-Q5 · question page 331

ENT.TEST.07 · Apply it: decide with stated targets and feedback

A test cost 300 dollars and earned 120 dollars, far below the 400-dollar target, with no useful feedback. What is the most reasonable choice?

Answer: C. Stop or test a clearly different idea

Far below target with no signal supports stopping.

✗ A. Spend 3,000 dollars more on the same plan: no sign it would improve

✗ B. Change only the font on the flyer: too small a change

✗ D. Call it a success: far below target

Arithmetic checked by code: yes. Sources: none (stable)

S16-F2-Q1 · question page 332

ENT.TEST.07 · Handle the complications: mixed and unclear results

Results are mixed: half the customers loved it, half asked for refunds. What should the founder check before deciding?

Answer: A. What the happy and unhappy customers have in common

Finding what separates the two groups points to the right customer or change.

✗ B. Whether to raise prices for every customer right away: premature

✗ C. Whether the logo is popular: not relevant

✗ D. Which group is louder online: not the key fact

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q2 · question page 333

ENT.TEST.07 · Handle the complications: mixed and unclear results

A founder keeps lowering the success target after each weak test so she can "continue." What is the problem?

Answer: D. Moving targets hides weak results and wastes time.

Targets set in advance keep decisions honest.

- ✗ A. Targets should never be set at all.: they are useful
- ✗ B. Lower targets always lead to success in the end.: not true
- ✗ C. There is no problem with this.: it hides evidence

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q3 · question page 334

ENT.TEST.07 · Handle the complications: mixed and unclear results

A test met its target, but the founder has no time left because of a new job. What is a sensible option?

Answer: C. Pause, or find help, before committing to growth

Good results still require the capacity to deliver.

- ✗ A. Grow quickly anyway: ignores capacity
- ✗ B. Pretend the test failed so there is no pressure to grow: dishonest
- ✗ D. Double the target: does not solve the time problem

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q4 · question page 335

ENT.TEST.07 · Handle the complications: mixed and unclear results

A test missed its target, but the founder discovers the payment link was broken for most of the test. What should she do?

Answer: A. Fix the link and run the test again

A flawed test does not give a fair answer; fix and retest.

✗ B. Stop the idea based on this result: the test was flawed

✗ C. Count the result as a success: it was not

✗ D. Ignore the broken link: it affected results

Arithmetic checked by code: not applicable. Sources: none (stable)

S16-F2-Q5 · question page 336

ENT.TEST.07 · Handle the complications: mixed and unclear results

Target: at least 25 percent of visitors book. Result: 18 of 60 visitors booked. Should the founder continue by that target?

Answer: C. Yes, 30 percent booked, above the target

18 / 60 = 0.30, which is 30 percent.

✗ A. No, only 18 percent booked: 18 is the count; the percent is 30

✗ B. It cannot be judged from these numbers: it can

✗ D. No, 18 is below 25: that compares a count with a percent

Arithmetic checked by code: yes. Sources: none (stable)

S17-M-Q1 · question page 338

ENT.CASE.03 · Apply a documented test: sell before holding inventory

According to the passage, how did Swinmurn fill early orders?

Answer: D. He bought the shoes from local stores and shipped them.

He bought each ordered pair at full price from the store.

✗ A. He had a factory make each pair to order.: not in the passage

✗ B. He shipped shoes from a large warehouse he owned.: he held no inventory

✗ C. He asked customers to pick up shoes at his home.: not in the passage

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-M-Q2 · question page 339

ENT.CASE.03 · Apply a documented test: sell before holding inventory

What question was this test designed to answer?

Answer: A. Would people buy shoes online?

The test checked whether online shoe buying had demand.

- ✗ B. Which shoe color is the most popular?: not the main question
- ✗ C. Which store has the best staff?: not tested
- ✗ D. How cheaply can shoes be made?: not tested

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-M-Q3 · question page 340

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Why might early sales have earned little money?

Answer: C. He paid full store price for each pair.

Buying at full retail left little or no margin.

- ✗ A. He gave every pair away free.: customers paid
- ✗ B. Customers paid twice the price.: not stated
- ✗ D. He had no shipping costs at all on any order.: he shipped the shoes

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-M-Q4 · question page 341

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Mara wants to sell imported tea online but cannot afford stock. Applying the lesson, what is a good first test?

Answer: B. List a few teas, buy them only after orders arrive, and ship

Selling before stocking tests demand cheaply.

- ✗ A. Buy a full container of tea first: heavy stock first

✗ C. Assume demand without any test: no evidence

✗ D. Wait until she can afford to rent a warehouse full of tea: no learning meanwhile

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-M-Q5 · question page 342

ENT.CASE.03 · Apply a documented test: sell before holding inventory

Which statement fits the course's interpretation?

Answer: D. Early tests aim to learn, not to maximize profit.

The test's goal was learning.

✗ A. Holding large stock is the only real test.: the case shows otherwise

✗ B. Every early sale must be profitable.: not required in a test

✗ C. This method guarantees success for any product.: no guarantee

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-B1-Q1 · question page 343

ENT.CASE.03 · Testing demand before stock

Which approach takes orders first?

Answer: B. Bake only what customers ordered

Ordering first ties spending to demand.

✗ A. Hire staff before any orders: no orders first

✗ C. Buy a bakery building first: no orders first

✗ D. Bake 200 loaves and hope: no orders first

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-B1-Q2 · question page 344

ENT.CASE.03 · Testing demand before stock

Why does taking orders first risk less?

Answer: D. You spend only after customers commit.

Spending follows commitments.

- ✗ A. Ingredients become free.: they are not free
- ✗ B. It avoids dealing with any customers at all.: it needs customers
- ✗ C. Customers pay double.: not stated

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-B1-Q3 · question page 345

ENT.CASE.03 · Testing demand before stock

What is a downside of baking only to order?

Answer: A. It can be slower and less efficient.

Small batches can be slower.

- ✗ B. It needs a large warehouse for the bread.: it does not
- ✗ C. It guarantees huge waste.: it reduces waste
- ✗ D. It is illegal.: not illegal

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-B1-Q4 · question page 346

ENT.CASE.03 · Testing demand before stock

Baking 200 loaves before any orders is what?

Answer: C. Spending before knowing demand

It risks money before evidence.

- ✗ A. A pre-order: no orders were taken
- ✗ B. A refund: unrelated
- ✗ D. Testing demand first with real orders: no test happened

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-B1-Q5 · question page 347

ENT.CASE.03 · Testing demand before stock

What does ordering first tell you?

Answer: D. What people actually want

Orders reveal real demand.

- ✗ A. Your future profit for sure: no guarantee
- ✗ B. The best bakery name: unrelated
- ✗ C. Nothing useful: it shows real demand

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F1-Q1 · question page 348

ENT.CASE.03 · Apply it: test before stocking in a new business

Leo wants to sell custom phone stands. Which plan best applies the lesson?

Answer: A. Show photos of a sample, take orders, then make each stand

Taking orders before production tests demand cheaply.

- ✗ B. Skip samples and only post a logo: no real offer
- ✗ C. Rent a store before making a sample: big cost first
- ✗ D. Make 1,000 stands in a workshop before showing anyone a sample: stock before demand

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F1-Q2 · question page 349

ENT.CASE.03 · Apply it: test before stocking in a new business

A seller buys each item at 20 dollars and sells at 22 dollars, plus pays 5 dollars shipping. What happens on each sale during this test?

Answer: B. She loses 3 dollars per sale.

22 - 20 - 5 = -3 dollars per sale.

- ✗ A. She earns 2 dollars per sale.: that ignores shipping
- ✗ C. She breaks even.: not quite
- ✗ D. She earns 7 dollars per sale.: that adds shipping instead of subtracting

Arithmetic checked by code: yes. Sources: case_zappos

S17-F1-Q3 · question page 350

ENT.CASE.03 · Apply it: test before stocking in a new business

Given the loss above, why might the test still be worthwhile?

Answer: B. It shows whether people buy before investing in stock.

A small, temporary loss can buy useful evidence.

- ✗ A. It proves the business will make a large profit later.: no guarantee
- ✗ C. Losses are always good for a business.: not true
- ✗ D. Shipping costs do not matter in tests.: they matter

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F1-Q4 · question page 351

ENT.CASE.03 · Apply it: test before stocking in a new business

A test showed strong orders. What should come next before buying large stock?

Answer: D. Find a supplier price that leaves a profit

After proving demand, the business must fix its costs.

- ✗ A. Stop testing and ignore costs: costs matter
- ✗ B. Raise prices without checking demand: risky
- ✗ C. Keep losing money on every sale forever: not sustainable

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F1-Q5 · question page 352

ENT.CASE.03 · Apply it: test before stocking in a new business

Which product is LEAST suited to "buy only after an order"?

Answer: D. Fresh food that must be ready instantly

Some products cannot wait for an order to be bought or made.

- ✗ A. Books from a supplier: can be ordered after sales
- ✗ B. Printed posters made on demand after each order: made after orders
- ✗ C. Shoes from a nearby store: can be bought after an order

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F2-Q1 · question page 353

ENT.CASE.03 · Handle the complications: when the tactic does not fit

A store owner learns her photos are being used to sell her shoes without permission. What should a founder using this tactic have done?

Answer: D. Get the store's permission to use photos and sell its items

Using others' photos and products needs permission.

- ✗ A. Hide where the shoes came from: unfair
- ✗ B. Copy the store's brand name: could be a trademark problem
- ✗ C. Assume any photo of a store's shoes is free to use online: not safe

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F2-Q2 · question page 354

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Customers expect delivery in 2 days, but buying each item after an order takes 5 days. What is the main risk?

Answer: D. Slow delivery may cause cancellations and bad reviews.

The test must still meet customer expectations or tell them clearly.

- ✗ A. There is no risk if the item arrives eventually.: expectations matter

✗ B. Customers prefer slow delivery.: not usually

✗ C. Delivery time never matters online.: it matters

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F2-Q3 · question page 355

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Which detail should a founder check before copying the "buy after order" approach for a rare product?

Answer: C. Whether the supplier will reliably have the item in stock

If supply is unreliable, orders may not be filled.

✗ A. Whether the founder of Zappos personally liked this kind of product: irrelevant

✗ B. What year Zappos started: trivia

✗ D. Whether competitors use the same font: irrelevant

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F2-Q4 · question page 356

ENT.CASE.03 · Handle the complications: when the tactic does not fit

A founder ran the test, lost money on every sale, and kept going for two years without changing costs. What went wrong?

Answer: A. The test turned into a long-term loss without a plan to fix costs.

A test should be short and lead to a plan for profitable operation.

✗ B. The test should have lasted five years.: longer does not fix costs

✗ C. Tests should never lose any money.: small losses can be acceptable

✗ D. Nothing went wrong, because losses are part of every business forever.: not sustainable

Arithmetic checked by code: not applicable. Sources: case_zappos

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S17-F2-Q5 · question page 357

ENT.CASE.03 · Handle the complications: when the tactic does not fit

Which is the most accurate statement about using a famous founder's tactic?

Answer: B. The tactic may help, but your product, costs and customers must be checked.

Tactics must be adapted to different conditions.

- ✗ A. The tactic guarantees the same success for any founder who copies it.: no guarantee
- ✗ C. Only shoe sellers may use it.: others can adapt it
- ✗ D. The tactic never works for anyone else.: too strong

Arithmetic checked by code: not applicable. Sources: case_zappos

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S18-M-Q1 · question page 359

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

According to the passage, what did Houston share before the product was public?

Answer: B. A short demo video

He shared a demo video with a waiting-list sign-up.

- ✗ A. A finished product sold in stores: it was not finished
- ✗ C. A printed catalog of features: not mentioned
- ✗ D. A list of investors: not mentioned

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q2 · question page 360

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

What did the video let viewers do?

Answer: C. Join a waiting list for the early version

The sign-up was for a beta waiting list.

✗ A. Download the finished app: not finished

✗ B. Buy a lifetime plan for the product immediately: not stated

✗ D. Apply for a job at the company: not stated

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q3 · question page 361

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Why does the passage avoid exact sign-up numbers?

Answer: B. Different accounts give different numbers.

When sources disagree, the course avoids the disputed detail.

✗ A. The numbers were secret forever.: not stated

✗ C. There were no sign-ups at all.: the list grew

✗ D. Numbers never matter in business stories like this one.: they matter, but must be reliable

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q4 · question page 362

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Which lesson does the course draw?

Answer: D. A demo can test interest, but sign-ups are not payment.

Interest is useful evidence but weaker than payment.

✗ A. Products must be fully finished before any test is run.: the case shows otherwise

✗ B. Sign-ups prove customers will pay.: sign-ups are weaker than payment

✗ C. Videos always go viral.: no guarantee

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-M-Q5 · question page 363

ENT.CASE.04 · Apply a documented test: a demo with a sign-up list

Sofia is building a budgeting app. Applying the lesson, what is a good early test?

Answer: B. Show a short demo and offer a waiting list

A demo tests interest before full building.

- ✗ A. Spend a year building every feature first: no early evidence
- ✗ C. Skip any test and launch in app stores: no early evidence
- ✗ D. Buy ads for an app that does not exist without explaining it: misleading

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q1 · question page 364

ENT.CASE.04 · Interest versus payment

A waiting-list sign-up measures what?

Answer: D. Interest

Giving an email shows interest.

- ✗ A. Payment: no money given
- ✗ B. Profit: no sale
- ✗ C. Refunds: unrelated

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q2 · question page 365

ENT.CASE.04 · Interest versus payment

Which measures commitment?

Answer: C. Paying for early access

Paying shows commitment.

- ✗ A. Liking a post: attention only
- ✗ B. Watching a demo: interest only

✗ D. Joining an email list: interest only

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q3 · question page 366

ENT.CASE.04 · Interest versus payment

A large waiting list should lead to which next step?

Answer: A. Check how many will pay

Test payment next.

✗ B. Stop collecting emails: not necessary
✗ C. Assume all will pay: not safe
✗ D. Delete the list: no reason

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q4 · question page 367

ENT.CASE.04 · Interest versus payment

Why can a sign-up list overstate demand?

Answer: B. Many people sign up but never buy.

Free sign-ups are easy to give.

✗ A. Sign-ups are illegal.: no
✗ C. Sign-ups cost a lot of money.: they are free
✗ D. Sign-ups are always fake.: not always

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-B1-Q5 · question page 368

ENT.CASE.04 · Interest versus payment

Which is stronger evidence?

Answer: A. 50 paid early-access customers

Paid customers are strongest.

- ✗ B. 50 likes: attention only
- ✗ C. 5,000 video views: attention only
- ✗ D. 500 email sign-ups for updates: interest only

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q1 · question page 369

ENT.CASE.04 · Apply it: a demo test for a new digital product

A designer has a template idea. Which test follows the lesson AND checks payment?

Answer: B. Show a demo, then offer paid early access at a discount

A demo plus a paid offer tests interest and payment.

- ✗ A. Show a demo only to friends: biased audience
- ✗ C. Build 100 templates before showing anyone a single example: no early evidence
- ✗ D. Post a logo and wait: no real test

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q2 · question page 370

ENT.CASE.04 · Apply it: a demo test for a new digital product

A demo page got 1,200 visitors and 300 sign-ups. What percent signed up?

Answer: D. 25 percent

300 / 1,200 = 0.25, or 25 percent.

- ✗ A. 40 percent: too high
- ✗ B. 12 percent: not the right division
- ✗ C. 30 percent: not the right division

Arithmetic checked by code: yes. Sources: case_dropbox

S18-F1-Q3 · question page 371

ENT.CASE.04 · Apply it: a demo test for a new digital product

Of the 300 sign-ups, 15 paid for early access. What does this show?

Answer: A. Some real demand, much smaller than the sign-up list

Only 15 of 300 paid, so paid demand is about 5 percent of sign-ups.

- ✗ B. No demand at all: 15 paid
- ✗ C. All 300 will certainly pay later: not shown
- ✗ D. Payments do not matter much if the number of sign-ups is high: payments matter most

Arithmetic checked by code: yes. Sources: case_dropbox

S18-F1-Q4 · question page 372

ENT.CASE.04 · Apply it: a demo test for a new digital product

Which demo would be misleading?

Answer: D. A video showing features that do not exist and are not planned

Showing features that will not exist misleads people.

- ✗ A. A video clearly labeled "planned features": honest labeling
- ✗ B. A short screen recording that shows the current early version: honest
- ✗ C. A video showing a real early prototype: honest

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F1-Q5 · question page 373

ENT.CASE.04 · Apply it: a demo test for a new digital product

After a strong demo test, what should a founder do before promising a launch date?

Answer: C. Check how long building the real product will take

Promises must match realistic building time.

✗ A. Raise money without a plan: not required

✗ B. Promise the earliest possible date anyway to keep people excited: risky

✗ D. Stop talking to people on the list: they need updates

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q1 · question page 374

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A founder's product is hard to show in a short video (for example, a new kind of accounting method). What is a sensible adaptation?

Answer: D. Use a different test, such as a simple trial with a few customers

When a demo does not fit, choose a test that does.

✗ A. Copy Dropbox's video style exactly, scene by scene, for the method: style does not fix the fit

✗ B. Make a confusing video anyway: unlikely to test interest fairly

✗ C. Skip testing entirely: no evidence

Arithmetic checked by code: not applicable. Sources: case_dropbox

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S18-F2-Q2 · question page 375

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A demo video went viral, but most viewers were outside the countries the founder can serve. What should she check?

Answer: C. How many sign-ups come from customers she can actually serve

Only reachable customers count toward real demand.

✗ A. The total view count only: misleading

✗ B. Which country liked the video the most, judging by comments: not the key question

✗ D. The number of likes: attention only

Arithmetic checked by code: not applicable. Sources: case_dropbox

S18-F2-Q3 · question page 376

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A founder copies the demo approach but has no clear problem to show. What is the likely result?

Answer: A. Few people will care, because the demo shows no clear benefit.

A demo works only if it shows a real problem being solved.

- ✗ B. Huge numbers of sign-ups, because demo videos always work well: no guarantee
- ✗ C. Payment from everyone who watches: unlikely
- ✗ D. A guaranteed investor offer: no

Arithmetic checked by code: not applicable. Sources: case_dropbox

S18-F2-Q4 · question page 377

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

Which statement correctly separates history from interpretation?

Answer: B. The video and waiting list are documented; "demos test interest" is a lesson drawn.

Documented facts versus the course's interpretation.

- ✗ A. Neither is documented.: the video is documented
- ✗ C. Both are quotes from the founder.: the lesson is the course's interpretation
- ✗ D. The exact number of sign-ups is documented and agreed on by every source.: sources disagree

Arithmetic checked by code: not applicable. Sources: case_dropbox

S18-F2-Q5 · question page 378

ENT.CASE.04 · Handle the complications: why the demo tactic may fail

A waiting list has 2,000 people. Past launches in this field turned about 3 percent of a list into paying customers. About how many paying customers might the founder expect?

Answer: C. About 60

3 percent of 2,000 is 60.

- ✗ A. About 600: that uses 30 percent
- ✗ B. About 2,000: that assumes everyone pays
- ✗ D. About 6: that uses 0.3 percent

Arithmetic checked by code: yes. Sources: case_dropbox

S19-M-Q1 · question page 380

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

"Rivera Services LLC" operates as "Sparkle Clean" and uses a blue bubble logo. Which is the legal entity?

Answer: A. Rivera Services LLC

The LLC on state records is the legal entity.

- ✗ B. The blue bubble logo used on the website: that is part of the brand
- ✗ C. Sparkle Clean, the name printed on the van doors: that is the name customers see
- ✗ D. The owner, Ms. Rivera, as a private person: the LLC is the entity

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q2 · question page 381

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

In the same example, what is "Sparkle Clean"?

Answer: B. The name customers see

It is the trade name used with customers.

- ✗ A. The bank account where all the payments go: not a name
- ✗ C. The legal entity registered with the state as an LLC: that is Rivera Services LLC

✗ D. The tax number the business uses for filings: not a name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q3 · question page 382

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

Which is part of a BRAND?

Answer: D. The business's logo and the tone of its messages

Logo, colors, voice and reputation make up the brand.

✗ A. The official filing number the state gave the LLC: that is a legal record
✗ B. The name of the registered agent on state records: that is a legal role
✗ C. The type of entity, such as an LLC or a corporation: that is legal structure

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q4 · question page 383

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

Can a business's legal name and the name customers see be different?

Answer: C. Yes, often

A business may operate under a different name, often after registering it as a trade name where required.

✗ A. No, the law always requires them to be identical everywhere: businesses often use trade names
✗ B. Only for very large public companies with many stores: small businesses do it too
✗ D. Only if the owner changes the bank account first: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-M-Q5 · question page 384

ENT.LEGAL.01 · Tell a business name, a legal entity and a brand apart

A customer says, "I love that company; they are always friendly." What is the customer describing?

Answer: D. The brand

Feelings and reputation are part of the brand.

- ✗ A. The registered agent's office address in the state: not customer-facing
- ✗ B. The legal entity type listed in the state database: customers rarely see that
- ✗ C. The owner's personal tax filing status this year: not customer-facing

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q1 · question page 385

ENT.LEGAL.01 · Person, nickname, reputation

"Robert James Lee" on official papers is like a business's what?

Answer: B. Legal entity name

Official papers show the legal name.

- ✗ A. Logo: not a name
- ✗ C. Brand and reputation with customers: that is reputation
- ✗ D. Nickname used by friends and customers: that is "Bobby"

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q2 · question page 386

ENT.LEGAL.01 · Person, nickname, reputation

"Bobby" is like a business's what?

Answer: A. Name customers see

A nickname is like a trade name.

- ✗ B. Legal entity on state records: that is the legal name

✗ C. Insurance policy: unrelated

✗ D. Tax identification number: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q3 · question page 387

ENT.LEGAL.01 · Person, nickname, reputation

"Reliable and funny" is like a business's what?

Answer: C. Brand

Reputation matches brand.

✗ A. Mailing address: unrelated

✗ B. Legal entity: not a reputation

✗ D. Bank account: unrelated

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q4 · question page 388

ENT.LEGAL.01 · Person, nickname, reputation

Which belongs on official legal papers?

Answer: A. The legal entity name

Legal papers use the legal name.

✗ B. A slogan: brand

✗ C. A customer review posted online: reputation

✗ D. The logo colors: brand

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-B1-Q5 · question page 389

ENT.LEGAL.01 · Person, nickname, reputation

Which can change without any legal filing in most cases?

Answer: D. The colors on a logo

Brand design changes usually do not require filings (though trademark issues can still matter).

- ✗ A. The registered agent on file: requires a filing
- ✗ B. The type of legal entity: requires legal steps
- ✗ C. The name of an LLC on state records: usually requires a filing

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q1 · question page 390

ENT.LEGAL.01 · Apply it: use the right name in the right place

"Kim Design LLC" operates as "Pixel Pine." Which name belongs on a contract the LLC signs?

Answer: C. Kim Design LLC

Contracts should name the legal entity (often with "doing business as" the trade name).

- ✗ A. The owner's first name only, Jenny: the LLC is the party
- ✗ B. Pixel Pine only, with no mention of the LLC: the legal entity should be identified
- ✗ D. The logo image instead of any written name: a contract needs the legal name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q2 · question page 391

ENT.LEGAL.01 · Apply it: use the right name in the right place

Which name usually appears on store signs and the website?

Answer: A. The name customers see

Customers see the trade name or brand name.

- ✗ B. The registered agent's company name: not customer-facing

✗ C. The state filing number for the entity: not a name

✗ D. The bank's name for the business account: not the business name

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q3 · question page 392

ENT.LEGAL.01 · Apply it: use the right name in the right place

A baker changes her logo from pink to green. What has changed?

Answer: B. Only part of the brand

Logo colors are brand elements.

✗ A. Her legal entity type, from LLC to corporation: colors do not change entity type

✗ C. Her state registration and filing number: not affected

✗ D. Her tax classification with the IRS: not affected

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q4 · question page 393

ENT.LEGAL.01 · Apply it: use the right name in the right place

An LLC wants customers to see a different name from its legal name. What should the owner check?

Answer: A. Whether the state or county requires registering that trade name

Using a different name often requires a trade name (DBA) filing; rules vary by state.

✗ B. Whether the logo is pretty enough: not a legal question

✗ C. Whether the bank account is open: not the main check

✗ D. Whether longtime customers liked the old name better than the new one: not the legal question

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F1-Q5 · question page 394

ENT.LEGAL.01 · Apply it: use the right name in the right place

Which situation mixes up name and brand?

Answer: C. Thinking a new logo protects the business name from use by others

A logo is branding; protecting a name involves separate legal steps.

- ✗ A. Keeping the same colors across the website and van: consistent branding
- ✗ B. Checking whether a trade name must be registered: sensible check
- ✗ D. Using the LLC name on contracts and the trade name on signs: correct use

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q1 · question page 395

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

A customer's payment fails because the invoice shows only "Pixel Pine," but the bank account is in the name "Kim Design LLC." What would most likely help?

Answer: A. Show the legal name with the trade name, such as "Kim Design LLC dba Pixel Pine"

Matching the legal name to the account, with the trade name shown, reduces confusion.

- ✗ B. Ask the customer to pay the owner personally: mixes personal and business money
- ✗ C. Change the logo and colors so the invoice looks nicer and more professional: not the issue
- ✗ D. Remove all names from future invoices: makes it worse

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q2 · question page 396

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

An owner assumes that because her LLC name was approved by the state, no one else can use her brand name anywhere. What is wrong?

Answer: D. State approval of an entity name is not the same as trademark rights.

Entity name approval and trademark protection are separate.

- ✗ A. Names can never be protected in any way.: trademarks are a separate process
- ✗ B. State approval of the LLC gives her worldwide ownership of the name.: it does not
- ✗ C. Nothing; approval protects the brand everywhere.: it does not

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q3 · question page 397

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

Two owners argue about whether to rename the business. Which question should be answered first?

Answer: A. Which name is being changed: the legal entity name, the trade name, or the brand?

Each kind of name change involves different steps.

- ✗ B. Whether to close the bank account: premature
- ✗ C. Which of the two possible names sounds more modern and catchy to customers today: secondary
- ✗ D. Which owner chose the first logo: not the first question

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q4 · question page 398

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

A business operates under three trade names. What extra task does this most likely create?

Answer: D. Keeping each name's registrations and records straight

Each trade name may need its own filing and consistent use.

✗ A. Changing the tax classification for each name: trade names do not change taxes

✗ B. Forming three separate legal entities automatically: trade names do not create entities

✗ C. Nothing at all; extra names never add work: they do

Arithmetic checked by code: not applicable. Sources: none (stable)

S19-F2-Q5 · question page 399

ENT.LEGAL.01 · Handle the complications: names, records and assumptions

Which statement is accurate?

Answer: B. One legal entity can use a different name with customers.

An entity may operate under a trade name; the entity is unchanged.

✗ A. A brand is the same thing as the legal entity.: they are different

✗ C. A trade name creates a new legal entity.: it does not

✗ D. Logos must be registered with the state to be used.: not generally required

Arithmetic checked by code: not applicable. Sources: none (stable)

S20-M-Q1 · question page 401

ENT.LEGAL.02 · Separate name availability from trademark rights

Nia bought the domain "glowpaws.com." What does this show?

Answer: A. That domain was available to buy.

Buying a domain only shows that the domain was available.

✗ B. No other business anywhere may use the name "Glow Paws.": not shown

✗ C. The state has approved "Glow Paws" as her legal entity.: a domain is not a state filing

✗ D. She owns the trademark "Glow Paws" everywhere in the country.: a domain does not give trademark rights

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q2 · question page 402

ENT.LEGAL.02 · Separate name availability from trademark rights

The state approved "Blue Fern LLC." What does this approval mean?

Answer: D. The LLC can use that entity name in that state's records.

Entity name approval is a state record, not trademark protection.

✗ A. The name is guaranteed safe from any legal objection.: not guaranteed
✗ B. Nobody can ever sell products called Blue Fern.: not guaranteed
✗ C. She has a federal trademark on "Blue Fern" in all fifty states.: state entity approval is not a trademark

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q3 · question page 403

ENT.LEGAL.02 · Separate name availability from trademark rights

Which search best helps check whether a brand name might conflict with others?

Answer: C. A trademark database search plus a web search

Searching trademark records and the web finds existing users of a name.

✗ A. Only checking whether the social media handle is free: not enough
✗ B. Only checking whether the domain name is for sale: not enough
✗ D. Only asking friends if they have heard of the name: not enough

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q4 · question page 404

ENT.LEGAL.02 · Separate name availability from trademark rights

Why could a business object to a new company's name even if the domain was available?

Answer: B. It may already use a similar name for similar goods.

Existing users of a name can have rights even without the domain.

- ✗ A. Names cannot be used by two businesses for any reason.: too absolute
- ✗ C. Domains are always illegal to buy.: they are legal
- ✗ D. Only the government can object to names.: other businesses can object

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-M-Q5 · question page 405

ENT.LEGAL.02 · Separate name availability from trademark rights

Which statement is accurate?

Answer: C. A free social media handle does not give trademark rights.

Handles show only availability on one platform.

- ✗ A. A free handle gives the owner exclusive rights to the name.: not true
- ✗ B. A free handle proves no one else uses the name.: not true
- ✗ D. A free handle replaces the need for any search.: not true

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q1 · question page 406

ENT.LEGAL.02 · An empty parking spot is not a deed

An available domain is most like what?

Answer: B. An empty parking spot

It is only availability.

- ✗ A. A building permit: unrelated
- ✗ C. A signed lease for ten years: not a lease
- ✗ D. A deed to land: it is not ownership

Arithmetic checked by code: not applicable. Sources: uspto_name

S20-B1-Q2 · question page 407

ENT.LEGAL.02 · An empty parking spot is not a deed

Which gives ownership-like rights to a brand name?

Answer: A. Trademark law

Trademark rights come from trademark law.

- ✗ B. Buying a domain: availability only
- ✗ C. Getting a free social handle: availability only
- ✗ D. Printing business cards: no rights

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q3 · question page 408

ENT.LEGAL.02 · An empty parking spot is not a deed

A state approving an LLC name is most like what?

Answer: D. An open spot on that state's list

It shows availability in state records.

- ✗ A. A federal trademark registration: separate
- ✗ B. A worldwide brand deed: too broad
- ✗ C. A patent: unrelated

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q4 · question page 409

ENT.LEGAL.02 · An empty parking spot is not a deed

Does an empty parking spot mean you own the land?

Answer: C. No

Using a spot is not owning it.

✗ A. Only if you park first: no

✗ B. Yes, always: ownership is separate

✗ D. Only on weekends: no

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-B1-Q5 · question page 410

ENT.LEGAL.02 · An empty parking spot is not a deed

Which is a separate system from domain and state name checks?

Answer: A. Trademark law

Trademarks are their own legal system.

✗ B. Phone numbers: unrelated

✗ C. Email newsletters: unrelated

✗ D. Website hosting: not about name rights

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q1 · question page 411

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Ravi plans to print 5,000 bags with his new brand name. Domain and handle are free. What should he do before printing?

Answer: D. Search trademark records and the web for similar names

A conflict found after printing would be expensive.

✗ A. Register a second domain to be safe: still only availability

✗ B. Ask only his family if they like the name: not a legal check

✗ C. Print right away, since the domain and handle were both free to register: not enough checking

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q2 · question page 412

ENT.LEGAL.02 · Apply it: what to check before committing to a name

A search finds a company using "Bright Leaf" for tea in another state. Lina wants "Bright Leaf" for tea too. What is the most sensible next step?

Answer: B. Treat it as a possible conflict and consider another name or advice

Similar names for similar goods can conflict; get advice or choose another name.

- ✗ A. Copy their logo as well: makes the problem worse
- ✗ C. Ignore it, because that company sells tea only in another state far away: distance does not always remove conflicts
- ✗ D. Assume her LLC filing protects her: it does not

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q3 · question page 413

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Which name choice carries the lowest conflict risk, based only on these search results?

Answer: B. A name with no similar uses found in trademark or web searches

Fewer existing similar uses means lower risk, though searches are not guarantees.

- ✗ A. A name used by a large company in the same industry: high risk
- ✗ C. A name very similar to a famous brand: high risk
- ✗ D. A name whose domain is available but used by a competitor offline: risk remains

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q4 · question page 414

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Which statement about a clear search is accurate?

Answer: A. It lowers risk but does not guarantee no conflict.

Searches reduce but do not remove risk.

- ✗ B. It guarantees no one can ever object.: searches can miss uses
- ✗ C. It gives the owner a trademark automatically.: registration is separate
- ✗ D. It is never worth doing.: it is worth doing

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F1-Q5 · question page 415

ENT.LEGAL.02 · Apply it: what to check before committing to a name

Who is the most appropriate person to ask about a possible trademark conflict?

Answer: C. A trademark attorney

Trademark questions are legal questions.

- ✗ A. A graphic designer: not legal advice
- ✗ B. A website hosting company: not legal advice
- ✗ D. A social media follower: not legal advice

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q1 · question page 416

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

An owner says, "My LLC name was approved, I bought the domain, and I got the handle, so I own the name." What is the unsupported assumption?

Answer: A. That availability checks create trademark ownership

None of those steps is a trademark right.

- ✗ B. That domain names can be bought at all by small businesses: they can be bought
- ✗ C. That LLCs need names: they do need names
- ✗ D. That handles can be registered: they can

Arithmetic checked by code: not applicable. Sources: uspto_name

S20-F2-Q2 · question page 417

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

A seller gets a letter saying her product name is too similar to another company's trademark. What is a sensible first step?

Answer: B. Read it carefully and get advice before responding

Legal letters deserve careful reading and qualified advice.

- ✗ A. Post the letter online and mock the company: can make things worse
- ✗ C. Ignore it, since her domain is valid: risky
- ✗ D. Immediately pay any amount demanded: get advice first

Arithmetic checked by code: not applicable. Sources: uspto_name

S20-F2-Q3 · question page 418

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

Two businesses have similar names but sell very different things (bakery versus car repair) in different towns. What should a founder understand?

Answer: D. Conflict risk depends on similarity, goods and markets; check carefully

Trademark questions depend on the specific facts.

- ✗ A. Similar names can never conflict at all: too absolute
- ✗ B. Any similar name is always illegal: too absolute
- ✗ C. Only the older business may ever use any similar name for anything at all: too absolute

Arithmetic checked by code: not applicable. Sources: uspto_name

S20-F2-Q4 · question page 419

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

Which check is MISSING from this plan? "Name chosen, domain bought, logo designed, bags ordered."

Answer: A. A trademark and web search for similar names

No step checks whether the name conflicts with existing marks.

- ✗ B. A larger bag order: not missing
- ✗ C. A second, more colorful logo design for the bags: not missing
- ✗ D. A new email address: not the key gap

Arithmetic checked by code: not applicable. Sources: uspto_name

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S20-F2-Q5 · question page 420

ENT.LEGAL.02 · Handle the complications: hidden assumptions about names

A name search costs 0 dollars online. Reprinting 5,000 bags costs 0.60 dollars each. How much could skipping the search cost if the name must change?

Answer: C. 3,000 dollars

5,000 x 0.60 = 3,000 dollars of reprinting, not counting other costs.

- ✗ A. 60 dollars: that uses 100 bags
- ✗ B. 5,000 dollars total: that uses 1 dollar per bag
- ✗ D. 600 dollars: that uses 1,000 bags

Arithmetic checked by code: yes. Sources: uspto_name

S21-M-Q1 · question page 422

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

Jo starts selling crafts alone and registers no entity. What is her business most likely?

Answer: B. A sole proprietorship

Doing business alone without forming an entity is usually a sole proprietorship.

- ✗ A. An LLC, created automatically when she makes a sale: LLCs require a state filing
- ✗ C. A partnership, because she has customers: customers are not partners
- ✗ D. A corporation, because she sells products to the public: corporations

require filings

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q2 · question page 423

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

What is the main risk of a sole proprietorship?

Answer: A. The owner is personally responsible for business debts.

The owner and business are not separate, so debts can reach personal assets.

- ✗ B. It must have at least ten employees on payroll.: no such rule
- ✗ C. It can never earn a profit under the law.: it can earn profits
- ✗ D. It is always taxed as a large corporation.: not true

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q3 · question page 424

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

Two friends start a painting business together, share profits, and form no entity. What is it most likely?

Answer: D. A general partnership

Two or more people in business together without an entity is usually a partnership.

- ✗ A. A sole proprietorship, since only one can own it: there are two owners
- ✗ B. A nonprofit, because they are friends: unrelated
- ✗ C. An LLC, because two people are involved: an LLC requires a filing

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q4 · question page 425

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

In a general partnership, who can be personally responsible for business debts?

Answer: C. Usually each partner

General partners can each be personally responsible.

- ✗ A. Only the partner who signed the most recent contract: responsibility is usually shared
- ✗ B. No one, because the partnership is a separate shield: general partners usually are responsible
- ✗ D. Only the customers who owe the business money: customers are not responsible for the business's debts

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-M-Q5 · question page 426

ENT.LEGAL.03 · Describe sole proprietorships and general partnerships

What is a main advantage of a sole proprietorship?

Answer: A. It is simple to start.

Few formal steps are needed, though local licenses and permits may still apply.

- ✗ B. It must be approved by the federal government.: no such requirement
- ✗ C. It always protects personal savings from lawsuits.: it does not
- ✗ D. It guarantees lower taxes than other forms.: not guaranteed

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q1 · question page 427

ENT.LEGAL.03 · You and the business are the same

In a sole proprietorship, whose debt is the business's debt?

Answer: C. The owner's

Owner and business are the same legally.

- ✗ A. The bank's: no
- ✗ B. Only the customers': no

✗ D. No one's: debts belong to someone

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q2 · question page 428

ENT.LEGAL.03 · You and the business are the same

Is there a legal wall between a sole proprietor and the business?

Answer: B. No

There is no separation.

✗ A. Only on weekends: no
✗ C. Yes, always: not in this form
✗ D. Only for small debts: no such rule

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q3 · question page 429

ENT.LEGAL.03 · You and the business are the same

A general partnership is like what?

Answer: D. Several people sharing one wallet

Partners share the business and its debts.

✗ A. One person with two wallets: not quite
✗ B. A bank loan: unrelated
✗ C. A wall between owners and debts: that is what some other forms try

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q4 · question page 430

ENT.LEGAL.03 · You and the business are the same

What do some owners form to try to build a wall?

Answer: B. An LLC or corporation

Entities can separate liability, with limits.

- ✗ A. A website: not a legal entity
- ✗ C. A logo: branding
- ✗ D. A business card with a printed logo: no legal effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-B1-Q5 · question page 431

ENT.LEGAL.03 · You and the business are the same

If a sole proprietor's business owes a supplier, who owes the supplier?

Answer: D. The owner

The owner is personally responsible.

- ✗ A. The local library: unrelated
- ✗ B. Nobody: someone owes it
- ✗ C. The supplier's customers: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q1 · question page 432

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Mo tutors on his own, files nothing with the state, and a client sues him over a missed contract. Whose assets could be at risk?

Answer: A. Mo's personal assets, since he is a sole proprietor

Without a separate entity, Mo is personally responsible.

- ✗ B. No one's, because tutoring is too small to sue: size does not prevent lawsuits
- ✗ C. Only the client's assets: the client is suing Mo
- ✗ D. Only the tutoring business's separate assets, protected from Mo: there is no separation

Arithmetic checked by code: not applicable. Sources: sba_structure

S21-F1-Q2 · question page 433

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Two partners have no written agreement. One partner orders 3,000 dollars of supplies for the business without telling the other. What risk does this show?

Answer: C. Each partner can create debts that affect both

In a general partnership, one partner's business actions can bind the others.

- ✗ A. Only the ordering partner can ever be responsible: partners usually share responsibility
- ✗ B. Partnerships cannot buy supplies: they can
- ✗ D. The order is automatically canceled by law: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q3 · question page 434

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Which business is most likely a sole proprietorship?

Answer: B. A single dog walker who never registered an entity

One owner, no entity filed.

- ✗ A. Two partners who formed an LLC together: that is an LLC
- ✗ C. Three cofounders who filed incorporation papers: that is a corporation
- ✗ D. A company with an LLC certificate from the state: that is an LLC

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q4 · question page 435

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

A sole proprietor has 2,000 dollars of business debt and 5,000 dollars of personal savings. If the business cannot pay, what could happen?

Answer: C. Creditors could seek payment from her personal savings.

Personal assets can be used to pay business debts.

✗ A. The debt disappears because the business closed.: debts do not vanish that way

✗ B. Savings are always protected from business debts.: not for a sole proprietor

✗ D. Only 50 percent of the debt can ever be collected.: no such rule

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F1-Q5 · question page 436

ENT.LEGAL.03 · Apply it: recognize the structure and its risk

Which step changes a sole proprietorship into a different structure?

Answer: D. Forming an entity, such as an LLC, with the state

A state filing creates a different entity.

✗ A. Hiring a first customer: no legal change

✗ B. Opening a business bank account in his own name at a local bank: helpful but does not create an entity

✗ C. Getting a logo designed: branding only

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q1 · question page 437

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Two friends call their joint business "just a hobby" but share profits from regular sales. What should they understand?

Answer: D. The law may treat them as a partnership based on what they do

Structure can depend on the actual arrangement, not the name they use.

✗ A. Hobbies cannot have profits by law: not the rule

✗ B. They become an LLC by sharing profits: an LLC needs a filing

✗ C. Calling it a hobby removes all legal responsibility: labels do not decide

this

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q2 · question page 438

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

A sole proprietor wants less personal risk but is unsure what to do. What is the best first step?

Answer: A. Learn about other structures and ask an attorney or accountant

Structure and insurance choices depend on facts; professional advice helps.

- ✗ B. Stop keeping records: harmful
- ✗ C. Assume insurance is never needed for a small one-person business: risky assumption
- ✗ D. Change the business logo: no legal effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q3 · question page 439

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Which is MISSING from a two-person business plan with no entity? "We split profits 50/50 and both buy supplies."

Answer: D. A written agreement about roles, decisions and debts

Partners need a written agreement even without forming an entity.

- ✗ A. A second social media account for posting photos of their work: not the key gap
- ✗ B. A third logo: not missing
- ✗ C. A larger supply budget: not the key gap

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q4 · question page 440

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

A sole proprietor assumes local business licenses are not needed "because I am just one person." What should she check?

Answer: B. Her city, county and state license and permit requirements

Licensing depends on the activity and location, not the number of owners.

- ✗ A. Only federal rules, since local rules never apply: local rules often apply
- ✗ C. Nothing, one-person businesses never need licenses: often false
- ✗ D. Only whether her friends have licenses: not reliable

Arithmetic checked by code: not applicable. Sources: sba_structure

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S21-F2-Q5 · question page 441

ENT.LEGAL.03 · Handle the complications: structure is not chosen by labels alone

Which statement is accurate?

Answer: C. Being simple to start does not make a sole proprietorship risk-free.

Simplicity and personal responsibility go together.

- ✗ A. Simple structures like this have no legal responsibilities at all.: they do
- ✗ B. Partnerships protect partners from all debts.: general partnerships usually do not
- ✗ D. Sole proprietors cannot be sued.: they can

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q1 · question page 443

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

How is an LLC created?

Answer: D. By filing with a state

An LLC exists after a state filing.

- ✗ A. By buying a domain name with "LLC" in it: a domain does not form an entity

✗ B. Automatically when a business makes its first sale: that is a sole proprietorship

✗ C. By opening a business bank account: a bank account does not form an entity

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S22-M-Q2 · question page 444

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

What does "limited liability" generally mean?

Answer: B. Business debts are generally the company's, not the owners'.

Limited liability separates business debts from owners in general.

✗ A. The owners can never be sued for anything at all.: not total immunity

✗ C. The company can only earn a limited amount of money.: not what it means

✗ D. The business never has to pay any taxes.: unrelated to taxes

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S22-M-Q3 · question page 445

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Which can still make an LLC owner personally responsible?

Answer: A. Signing a personal guarantee for a business loan

A personal guarantee makes the owner personally responsible for that debt.

✗ B. Using a logo on business cards: not a source of liability

✗ C. Paying the state filing fee on time: not a source of liability

✗ D. Choosing a business name with an LLC ending: naming does not create liability

Arithmetic checked by code: not applicable. Sources: sba_structure

S22-M-Q4 · question page 446

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Who owns a corporation?

Answer: C. Its shareholders

Shareholders own corporations.

- ✗ A. Its suppliers: suppliers sell to it
- ✗ B. Its customers: customers buy, not own
- ✗ D. The state that approved it: the state does not own it

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-M-Q5 · question page 447

ENT.LEGAL.04 · Describe LLCs and corporations and the limits of limited liability

Which statement about LLCs is accurate?

Answer: D. An LLC is not total immunity from personal responsibility.

Protection has limits, such as guarantees and personal wrongful acts.

- ✗ A. An LLC protects owners from every possible claim.: not true
- ✗ B. An LLC automatically lowers taxes for every owner.: not automatic
- ✗ C. An LLC means owners may mix personal and business money freely.: mixing can weaken protection

Arithmetic checked by code: not applicable. Sources: sba_structure

---

S22-B1-Q1 · question page 448

ENT.LEGAL.04 · A wall with doors

In this picture, what does forming an LLC do?

Answer: B. Builds a wall between business and personal life

The LLC creates separation.

✗ A. Pays taxes automatically: no

✗ C. Guarantees profit: no

✗ D. Removes all business debts from existence at once: debts remain

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q2 · question page 449

ENT.LEGAL.04 · A wall with doors

Which is a "door" through the wall?

Answer: C. Signing a personal guarantee

Personal guarantees bypass the wall.

✗ A. Keeping separate bank accounts: keeps the door closed

✗ B. Filing the LLC paperwork: that builds the wall

✗ D. Using the LLC name on contracts: good practice

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q3 · question page 450

ENT.LEGAL.04 · A wall with doors

Mixing business and personal money does what?

Answer: B. Can weaken the wall

Mixing money can undermine protection.

✗ A. Makes the wall stronger: no

✗ C. Creates a corporation: no

✗ D. Has no effect at all: it can matter

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q4 · question page 451

ENT.LEGAL.04 · A wall with doors

Do most ordinary business debts stay on the business side?

Answer: A. Generally, yes

That is the main feature.

- ✗ B. Only for corporations: LLCs too
- ✗ C. Never: that is the point of the wall
- ✗ D. Only after five years: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-B1-Q5 · question page 452

ENT.LEGAL.04 · A wall with doors

What keeps the doors closed?

Answer: D. Careful habits, like separate accounts and not guaranteeing debts personally

Good habits protect the separation.

- ✗ A. Ignoring contracts: risky
- ✗ B. Posting about the business often on several social media accounts: no effect
- ✗ C. Changing the logo often: no effect

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q1 · question page 453

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Lee's LLC owes a supplier 4,000 dollars and cannot pay. Lee signed nothing personally and kept money separate. Generally, whose debt is it?

Answer: C. The LLC's debt

With separation maintained and no guarantee, the debt is generally the company's.

✗ A. The state's debt: no

✗ B. The supplier's own debt: the supplier is owed

✗ D. Lee's personal debt automatically: not without more

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q2 · question page 454

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Same LLC, but Lee personally guaranteed a 10,000-dollar loan. If the LLC cannot repay, who may have to pay?

Answer: D. Lee personally

A personal guarantee makes the owner personally responsible for that loan.

✗ A. Only the LLC, never Lee: the guarantee makes Lee responsible

✗ B. No one: someone owes it

✗ C. The bank absorbs the loss automatically: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q3 · question page 455

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

An LLC owner pays personal rent from the business account every month and records nothing. What risk does this create?

Answer: C. It can weaken the separation between owner and LLC

Treating business money as personal can undermine limited liability.

✗ A. It lowers the owner's taxes automatically: no

✗ B. No risk; LLC money is the owner's to use any way: mixing is risky

✗ D. It turns the LLC into a corporation: no

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q4 · question page 456

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

Which business is a corporation?

Answer: A. One formed with the state that issues shares to owners

Corporations are formed with the state and have shareholders.

- ✗ B. Two friends sharing profits with no filing: partnership
- ✗ C. A single owner selling crafts at markets with no state filing at all: sole proprietorship
- ✗ D. A brand name printed on a website: not an entity

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F1-Q5 · question page 457

ENT.LEGAL.04 · Apply it: what limited liability does in real situations

An LLC owner personally causes a car accident while driving for the business. What should the owner understand?

Answer: B. Personal wrongful acts can create personal responsibility, and insurance matters.

Limited liability does not erase responsibility for one's own wrongful acts.

- ✗ A. Accidents are never a business concern.: they can be
- ✗ C. The LLC always shields the owner from any claim about any accident at all.: not always
- ✗ D. Only the other driver is ever responsible.: depends on facts

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q1 · question page 458

ENT.LEGAL.04 · Handle the complications: common LLC myths

A friend says, "Form an LLC and you can never be sued." What is wrong with this?

Answer: C. People can still sue, and owners can still be responsible in some situations

An LLC limits some liability; it does not stop lawsuits.

- ✗ A. Nothing is wrong, because LLC owners can never be sued for anything: false
- ✗ B. Only corporations can be sued: false
- ✗ D. LLCs make lawsuits illegal: false

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q2 · question page 459

ENT.LEGAL.04 · Handle the complications: common LLC myths

A friend says, "An LLC automatically saves taxes." What should the owner check?

Answer: A. How the LLC will be taxed and whether it actually changes her taxes

Tax effects depend on classification and facts; an accountant can help.

- ✗ B. Nothing, because forming an LLC always saves taxes for its owners: not automatic
- ✗ C. Only the LLC's logo design: unrelated
- ✗ D. Whether the bank likes LLCs: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q3 · question page 460

ENT.LEGAL.04 · Handle the complications: common LLC myths

An owner forms an LLC but keeps signing contracts in her own name only. What risk might this create?

Answer: B. She may be personally bound by those contracts

Signing as the LLC (with the LLC's name) helps keep obligations with the company.

- ✗ A. The state will cancel the LLC immediately: not automatically
- ✗ C. None; the LLC covers anything she signs: not necessarily

✗ D. The contracts become invalid automatically: not automatically

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q4 · question page 461

ENT.LEGAL.04 · Handle the complications: common LLC myths

Which detail should an owner verify before relying on LLC protection for a risky activity, such as running trampoline parties?

Answer: C. Insurance coverage and how liability works for that activity

Risky activities call for insurance and advice; the LLC is not enough alone.

✗ A. The number of social media followers the business has gained: unrelated

✗ B. The domain renewal date: unrelated

✗ D. Logo colors: unrelated

Arithmetic checked by code: not applicable. Sources: sba_structure

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S22-F2-Q5 · question page 462

ENT.LEGAL.04 · Handle the complications: common LLC myths

Which statement is accurate?

Answer: D. An LLC can help, but it works best with separate money and careful signing.

Protection depends on maintaining separation and good practices.

✗ A. An LLC is required for every business.: not required

✗ B. An LLC means its owners can safely ignore the contracts they sign.: no

✗ C. An LLC replaces the need for insurance.: it does not

Arithmetic checked by code: not applicable. Sources: sba_structure

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S23-M-Q1 · question page 464

ENT.LEGAL.05 · Separate legal form from tax treatment

Who sets a business's legal form?

Answer: B. State law, through the entity's formation

Legal form comes from state law.

- ✗ A. The IRS, by assigning it a tax form: the IRS sets tax treatment
- ✗ C. Customers, by how they pay: unrelated
- ✗ D. The bank, when it opens an account: banks do not set legal form

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q2 · question page 465

ENT.LEGAL.05 · Separate legal form from tax treatment

By default, a single-owner LLC is usually taxed how for federal income tax?

Answer: D. With its owner ("disregarded")

By default the single-owner LLC is disregarded and taxed with the owner.

- ✗ A. Always as a large corporation with shareholders: not by default
- ✗ B. As a partnership, even with one owner: partnerships need two or more
- ✗ C. Never taxed at all, since it is an LLC: income is still taxed

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q3 · question page 466

ENT.LEGAL.05 · Separate legal form from tax treatment

By default, an LLC with three owners is usually taxed as what?

Answer: C. A partnership

Multi-owner LLCs default to partnership tax treatment.

- ✗ A. A sole proprietorship: it has more than one owner
- ✗ B. A government agency: no
- ✗ D. A nonprofit: not by default

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q4 · question page 467

ENT.LEGAL.05 · Separate legal form from tax treatment

Can an LLC choose to be taxed as a corporation?

Answer: A. Yes, by making an election

An LLC can elect corporate tax treatment.

- ✗ B. Only if it changes its name: naming is unrelated
- ✗ C. No, never, under any circumstance: an election is possible
- ✗ D. Only if it closes: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-M-Q5 · question page 468

ENT.LEGAL.05 · Separate legal form from tax treatment

"My business is an LLC." What does this tell you for sure?

Answer: B. Its legal form

"LLC" names the legal form; tax treatment is separate.

- ✗ A. Exactly how it is taxed: not by itself
- ✗ C. How much tax it owes this year: not by itself
- ✗ D. That it pays no tax: not true

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q1 · question page 469

ENT.LEGAL.05 · Two different labels

A business's legal form is like a student's what?

Answer: D. School

Legal form is one label.

✗ A. Shoe size: unrelated

✗ B. Sports team: that is tax treatment

✗ C. Favorite food: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q2 · question page 470

ENT.LEGAL.05 · Two different labels

Tax treatment is like what?

Answer: B. The team, chosen separately

Tax treatment is a separate label.

✗ A. The cafeteria lunch menu: unrelated

✗ C. The bus route: unrelated

✗ D. The school: that is legal form

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q3 · question page 471

ENT.LEGAL.05 · Two different labels

Does knowing the legal form always tell you the tax treatment?

Answer: C. No

They are separate questions.

✗ A. Only in summer: no

✗ B. Yes, always: they are separate

✗ D. Only for big companies: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q4 · question page 472

ENT.LEGAL.05 · Two different labels

Who decides tax treatment rules?

Answer: A. Federal IRS rules and the business's elections

Federal tax rules and elections decide tax treatment.

- ✗ B. The state alone, with no federal rules applying at all: state sets legal form
- ✗ C. The bank: no
- ✗ D. Customers: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-B1-Q5 · question page 473

ENT.LEGAL.05 · Two different labels

Which word means "choosing" a tax treatment?

Answer: C. Election

An election is a choice.

- ✗ A. Registration: filing with the state
- ✗ B. Formation: creating the entity
- ✗ D. Reconciliation: matching records

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q1 · question page 474

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Ana forms an LLC alone and makes no tax election. What are her legal form and default federal tax treatment?

Answer: D. LLC; taxed with Ana as a disregarded entity

Legal form LLC; default tax treatment disregarded (with the owner).

- ✗ A. Sole proprietorship; not taxed at all: income is taxed
- ✗ B. Corporation; taxed as a corporation: she formed an LLC

✗ C. Partnership; taxed as a partnership: she is the only owner

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q2 · question page 475

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Ben and Cal form an LLC together with no election. What is the default federal tax treatment?

Answer: B. Partnership

Two-owner LLCs default to partnership treatment.

✗ A. Corporation automatically: not by default
✗ C. No tax ever: income is taxed
✗ D. Disregarded with Ben only: there are two owners

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q3 · question page 476

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

An LLC elected to be taxed as a corporation. What is its legal form now?

Answer: C. Still an LLC

The election changes tax treatment, not the state legal form.

✗ A. A partnership: no
✗ B. A corporation under state law automatically: the election changes tax treatment, not state legal form
✗ D. A sole proprietorship: no

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q4 · question page 477

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

A friend says, "LLCs pay a special LLC tax rate." What is the best response?

Answer: C. Tax depends on how the LLC is classified, not on "LLC" alone

There is no single "LLC tax"; treatment depends on classification.

- ✗ A. Only states tax LLCs: not true
- ✗ B. Yes, every LLC in the country pays one special LLC tax rate: not true
- ✗ D. LLCs never pay any tax: not true

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F1-Q5 · question page 478

ENT.LEGAL.05 · Apply it: name the form and the tax treatment

Who is the best person to help decide whether an LLC should make a tax election?

Answer: B. An accountant or tax professional

Elections have tax consequences; a tax professional can help.

- ✗ A. A web designer: not tax advice
- ✗ C. A social media manager for the business: not tax advice
- ✗ D. A sign printer: not tax advice

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q1 · question page 479

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

An owner thinks forming an LLC changed her tax forms automatically into corporate forms. What should she check?

Answer: D. Her LLC's tax classification and what returns it must file

Tax filing depends on classification; she should confirm it.

- ✗ A. Her logo's file format: unrelated
- ✗ B. Her competitor's prices and the services they list online: unrelated
- ✗ C. Her domain renewal date: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q2 · question page 480

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Two owners disagree: one says their LLC is a partnership, the other says it is an LLC. What is the clearest way to put it?

Answer: A. Legally an LLC; by default taxed as a partnership

Both are right in different senses: legal form versus tax treatment.

- ✗ B. Neither, since it has two owners: it is both, in different senses
- ✗ C. Only a partnership, not an LLC: it is an LLC
- ✗ D. Only an LLC, which has no tax treatment of any kind: it has a tax treatment

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q3 · question page 481

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Rules about elections and deadlines can change. What is the sensible approach for a beginner?

Answer: B. Check current IRS guidance or ask a tax professional before choosing

Time-sensitive tax rules should be checked at the source.

- ✗ A. Assume the rules never change and rely on what a friend did years ago: they can
- ✗ C. Rely on an old blog post: may be outdated
- ✗ D. Ask a competitor: not reliable

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q4 · question page 482

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Which statement is accurate?

Answer: C. A sole proprietorship and a single-owner LLC can both be taxed with the owner by default.

Default treatment for a single-owner LLC is like a sole proprietor for income tax.

- ✗ A. Sole proprietorships are taxed as corporations.: not true
- ✗ B. All LLCs are taxed as corporations by default.: not true
- ✗ D. A single-owner LLC can never be taxed together with its owner under any rule.: that is its default

Arithmetic checked by code: not applicable. Sources: irs_llc

S23-F2-Q5 · question page 483

ENT.LEGAL.05 · Handle the complications: mixed-up assumptions

Which information is needed to know how an LLC is taxed?

Answer: D. Its number of owners and whether it made an election

Owners and elections decide default and chosen treatment.

- ✗ A. Its logo and slogan: unrelated
- ✗ B. Its number of social media followers and likes: unrelated
- ✗ C. Its website color scheme: unrelated

Arithmetic checked by code: not applicable. Sources: irs_llc

S24-M-Q1 · question page 485

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

What does a registered agent do?

Answer: A. Accepts official legal papers for the business

The registered agent receives official notices and legal papers.

- ✗ B. Opens and manages the business's bank account: banking is separate
- ✗ C. Files the owner's personal tax return every spring: that is a tax preparer's job

✗ D. Designs the logo and picks brand colors for the LLC: that is branding work

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q2 · question page 486

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Which step creates the LLC itself?

Answer: C. Filing formation papers with the state

The state filing creates the LLC.

✗ A. Printing business cards that say "LLC" on them: printing has no legal effect

✗ B. Buying a matching domain name for the website: domains do not create entities

✗ D. Opening a business bank account at a local bank: banks need the LLC first

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q3 · question page 487

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Which order makes the most sense?

Answer: B. Choose a name and agent, file with the state, then open a bank account

Formation comes before steps that require the LLC's documents.

✗ A. Print signs first, then pick a registered agent years later: agent is required at filing

✗ C. Apply for licenses before deciding what business it is: licenses depend on the business

✗ D. Open a bank account, then decide whether to form the LLC later: the bank usually needs the LLC's papers

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q4 · question page 488

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Many states do not accept which address for a registered agent?

Answer: D. A PO Box

The agent needs a physical in-state address where papers can be delivered.

- ✗ A. The agent's own office address in the state: acceptable
- ✗ B. A street address where someone is present: that is usually required
- ✗ C. A physical office address inside the state: that is what is usually required

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-M-Q5 · question page 489

ENT.LEGAL.06 · Order the steps of forming an LLC and explain the registered agent

Where should a founder confirm the exact steps and fees?

Answer: C. The state's official business filing website

Official state sources give current steps and fees.

- ✗ A. An old textbook from another country: not the right jurisdiction
- ✗ B. A competitor's opinion about filing fees: not authoritative
- ✗ D. A random social media post about LLCs: may be wrong or outdated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q1 · question page 490

ENT.LEGAL.06 · The registered agent as a mail desk

A registered agent is most like what?

Answer: C. An office front desk for legal papers

It receives official papers.

✗ A. A delivery truck that carries packages: it delivers, not receives

✗ B. A bank teller: unrelated

✗ D. A logo designer: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q2 · question page 491

ENT.LEGAL.06 · The registered agent as a mail desk

Why does the agent need a street address?

Answer: B. Someone must be able to deliver papers there

Papers are delivered to a physical place.

✗ A. So customers can walk in and shop there in person: not the purpose

✗ C. So the logo looks local: unrelated

✗ D. So taxes are lower: unrelated

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q3 · question page 492

ENT.LEGAL.06 · The registered agent as a mail desk

When must the agent usually be available?

Answer: D. During business hours

Someone must be there to receive papers.

✗ A. Never: they must receive papers

✗ B. Only on holidays: no

✗ C. Only late at midnight: no

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q4 · question page 493

ENT.LEGAL.06 · The registered agent as a mail desk

What does the agent receive?

Answer: C. Official legal papers and notices

Its role is legal papers.

- ✗ A. Job applications: not its job
- ✗ B. Customer orders: not its job
- ✗ D. Product shipments from suppliers: not its job

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-B1-Q5 · question page 494

ENT.LEGAL.06 · The registered agent as a mail desk

Which is a good choice for a registered agent?

Answer: B. Someone with a reliable in-state street address

Reliability and a physical in-state address matter.

- ✗ A. An email address only: not usually enough
- ✗ C. A friend who moves often and has no address: unreliable
- ✗ D. A PO Box in another state: not usually allowed

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q1 · question page 495

ENT.LEGAL.06 · Apply it: plan an LLC formation

Lia wants an LLC but works away from home all day and moves often. What registered agent choice fits best?

Answer: D. A registered agent service with a stable in-state office

A service with a stable address can reliably receive papers.

- ✗ A. A PO Box near her apartment: often not accepted
- ✗ B. Her email address: not usually enough
- ✗ C. Her own home address, even though she is rarely there: she is often

away

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q2 · question page 496

ENT.LEGAL.06 · Apply it: plan an LLC formation

Ana filed her LLC papers. The state approved them. What is a sensible next step?

Answer: B. Write an operating agreement and handle tax IDs and banking

After formation, internal agreements, tax IDs and banking follow.

- ✗ A. Choose a name the state will accept: already done
- ✗ C. File the formation papers again: already filed
- ✗ D. Pick a registered agent for the very first time now: needed at filing

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q3 · question page 497

ENT.LEGAL.06 · Apply it: plan an LLC formation

A state charges a 125-dollar filing fee and a registered agent service costs 100 dollars a year. What is the first-year cost of these two items?

Answer: C. 225 dollars

125 + 100 = 225 dollars in the first year (fees here are example assumptions).

- ✗ A. 100 dollars: only the agent fee
- ✗ B. 25 dollars: the difference
- ✗ D. 125 dollars: only the filing fee

Arithmetic checked by code: yes. Sources: sba_launch; state_agent

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S24-F1-Q4 · question page 498

ENT.LEGAL.06 · Apply it: plan an LLC formation

Raj picked a name, but the state rejects it as too similar to an existing LLC. What should he do?

Answer: C. Choose a different name and check availability first

Pick an available name before filing.

- ✗ A. File anyway and hope it passes: it will be rejected
- ✗ B. Skip forming the LLC entirely: not necessary
- ✗ D. Use the rejected name anyway, but only on his website: still confusing and risky

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F1-Q5 · question page 499

ENT.LEGAL.06 · Apply it: plan an LLC formation

Which item is NOT part of forming the LLC with the state?

Answer: D. Designing the company logo

Logos are branding, not formation.

- ✗ A. Paying the state filing fee: part of filing
- ✗ B. Filing formation papers: part of filing
- ✗ C. Naming a registered agent: part of filing

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q1 · question page 500

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

Mo wants privacy and plans to list his PO Box as the registered agent address. What should he check first?

Answer: B. Whether his state allows a PO Box for the registered agent

Many states require a physical in-state address; a PO Box may be rejected.

- ✗ A. Whether the PO Box is cheap: cost does not decide whether it is allowed
- ✗ C. Whether his logo fits neatly in the space on the state form: unrelated

✗ D. Whether friends use PO Boxes: not authoritative

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q2 · question page 501

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

An LLC's registered agent quits and the owner forgets to replace them. What is the main risk?

Answer: A. Official legal papers might not reach the business

Without an agent, important papers and deadlines may be missed.

✗ B. The LLC automatically turns into a corporation: no
✗ C. Taxes drop to zero: no
✗ D. No risk; agents are optional: they are usually required

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q3 · question page 502

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks

A website offers "LLC formation in 5 minutes" for 300 dollars plus the state fee. What should a founder understand?

Answer: D. The state filing can often be done directly; services add their own fee

Compare the direct state filing option with the paid convenience.

✗ A. Only paid services can file: many states allow direct filing
✗ B. Services guarantee lower taxes: no
✗ C. The whole 300-dollar service fee is paid to the state as a tax: it is the service's fee

Arithmetic checked by code: not applicable. Sources: sba_launch; state_agent

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S24-F2-Q4 · question page 503

ENT.LEGAL.06 · Handle the complications: addresses, deadlines and checks